



HYDRO-CONSULT
ENGINEERING

ANNUAL REPORT 2015





Construction of headrace canal
Gura Hydropower Project, Kenya

Content

Company Profile	01
Financial Highlights	03
Chairman's Message	04
Location of International Projects	06
Location of National Projects	07
Report From the Board of HCE	08
CEO's Perspective	12
Project Coordination Team Members	14
Corporate Governance Report	15
Board Members Brief Resume	18
Key Staff Brief Resume	20
Financial Performance of FY 2071/72	28
Project Overview of FY 2071/72	30
Projects Completed	43
Auditor's Report	49
Audited Financial Statements	50
Ratio Analysis	68
Group Photo of HCE Staff	69



Cover Photo:
Powerhouse of
Upper Mai HEP, Illam

Company Profile

Hydro-Consult Engineering Limited (HCE) provides consulting services for the development of water resource based infrastructures focusing mainly in hydropower and irrigation projects in Nepal and abroad. We undertake all stages of a project study from inception to commissioning that includes project planning, pre-feasibility, feasibility, environmental and social safeguard studies, detailed design, preparation of technical specification and tender documents, project and contract management with construction supervision, testing and commissioning. We adhere to sustainable infrastructures development based on sound engineering practices, socio-environmental obligations, innovation and quality. We have a well set system of in-house design guidelines, procedures and quality controls with modern updated software packages and communication systems.

HCE has been carrying out consulting and engineering business of Butwal Power Company (BPC) since 1966. In 1986, BPC established BPC Hydroconsult as a firm of planners, engineers, environmentalists, consultants and technical specialists offering a broad range of professional services. BPC Hydro-consult was structured as Engineering Department of BPC in 1991. In 2009, Engineering Department of BPC was established as an independent entity; Hydro Consult Private Limited (HCPL), by acquiring major shares in an existing firm that was being run by People Energy and Environment Development Association (PEEDA). BPC, along with its ongoing consulting business; transferred goodwill, technical data and reports including its library with intellectual property right, staff and assets of Engineering Department (BPC Hydroconsult) to HCE (then HCPL). HCE was transformed into public limited on September 18, 2012 and is the first engineering consulting firm registered as public limited company in Nepal. At present, BPC holds 80% share of HCE and 20 % share is held by PEEDA.

HCE is recognized for its quality and stands among the best consulting company in the hydropower sector of Nepal. Our

Corporate Information

Name: Hydro-Consult Engineering Limited

Registration No: 97410

Corporate History: 1986 (As BPC Hydroconsult)

1998 (As HCPL under ownership of PEEDA)

2009 (BPC bought major share of HCPL and transferred BPC Hydroconsult to HCPL)

2012 (As HCE)

Corporate Office: Buddhanagar, Kathmandu

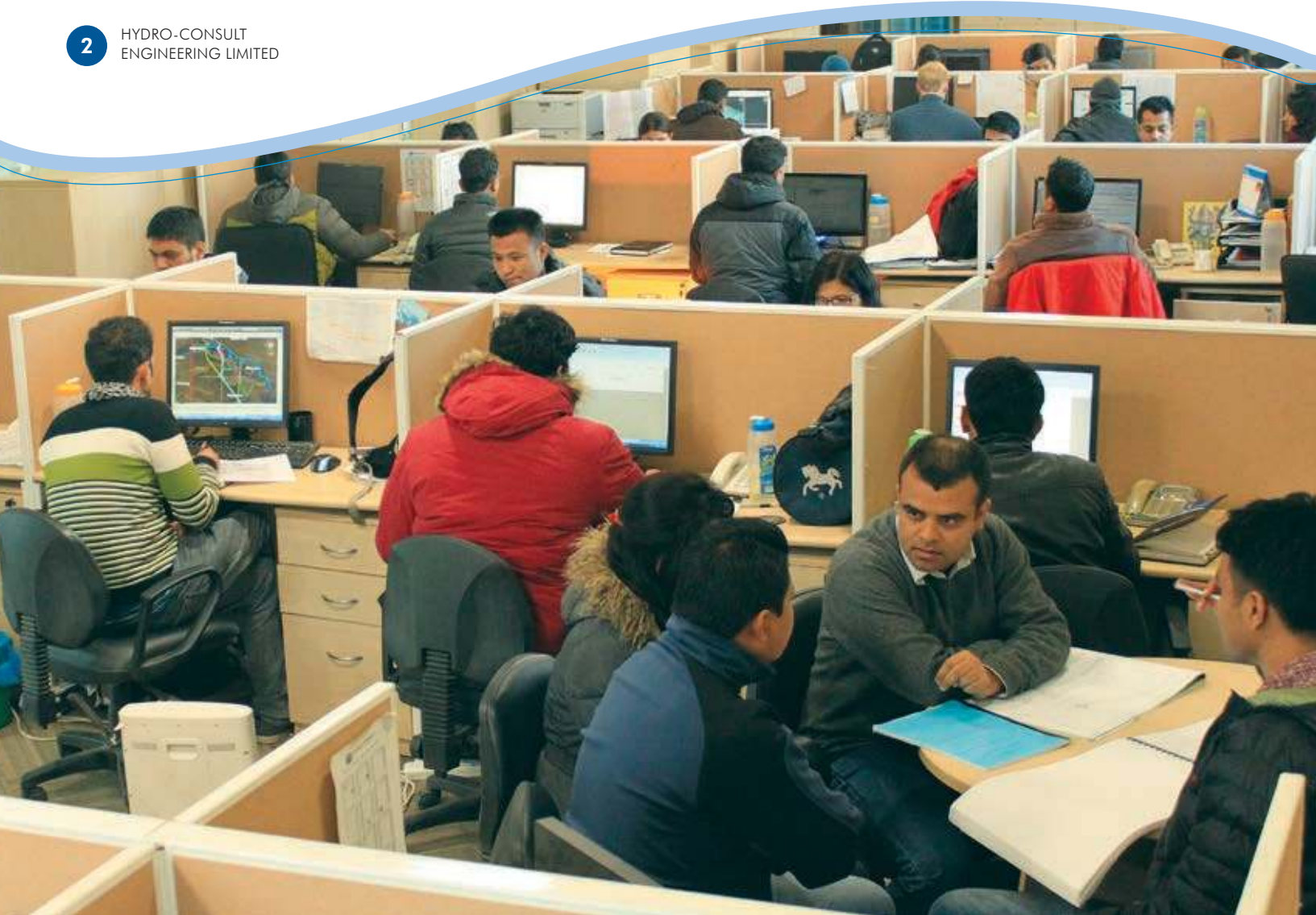
VAT No: 500012033

Statutory Auditor: S R Pandey & Co, Chartered Accountants

pursuit for competitive excellence begins and ends with our commitment to excel in engineering services through highest level of quality and customer satisfaction.

HCE maintains its human resources with competent retention schemes and currently there are more than 60 professionals employed in HCE that includes Civil, Mechanical, Structural, Geotechnical and Electrical Engineers; Hydrologists, Geologists, Environmentalists, Socio-economists, GIS Experts, Financial Analysts etc. HCE is also sponsoring training programs for capacity building and career development as per the requirements of its staff. Moreover, HCE and Multiconsult (NORPLAN AS), Norway have continued the FK Youth Professional Exchange Program since 2012. HCE exchanges two staff every year under this program that has enabled its staff to experience different working culture and technologies in Nepal and in Norway.

At present, HCE is operating its business in Nepal, Pakistan and Kenya and has its Head office in Gangadevi Marg, Buddhanagar, Kathmandu



VISION

Centre of excellence in engineering services in water resources and infrastructure development with due respect to environment and stakeholders.

MISSION

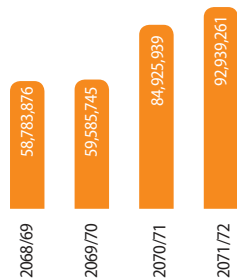
Provide quality and cost effective engineering services in water resources focusing on hydropower, environment and infrastructure sectors being a globally recognized consultant.

OBJECTIVE

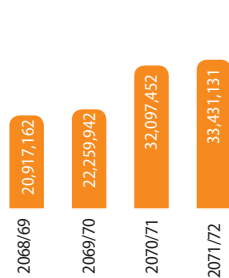
- 1 Develop and provide quality and cost-effective engineering services to maximize customer satisfaction.
- 2 Deliver socially acceptable and environment friendly engineering solutions with due priority to local resources and technology.
- 3 Expand the services and penetrate into new market.
- 4 Optimum utilization of available resources.
- 5 Develop and enhance professional skills and knowledge.
- 6 Enrich the value of stakeholders.

Financial Highlights

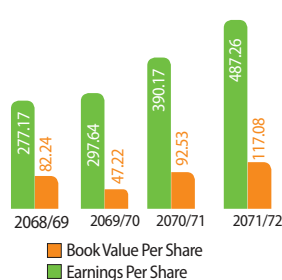
Operating Income NPR



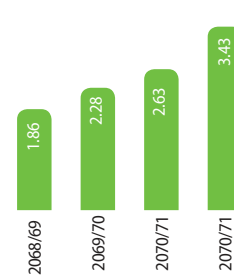
Gross Operating Profit NPR



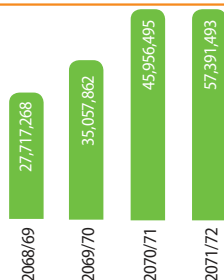
Book Value & Earning per share NPR



Current Ratio



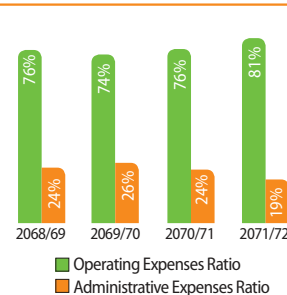
Net worth NPR



Quick Assets NPR



Operating and Administration Expenses Ratio





Chairman's Message



Time and again, resilience against the forces, natural and manmade, is to be brought up to survive the challenges of time. Past fiscal year, Nepal faced the brunt of nature in the form of two devastating earthquakes, and also had to contend with the socio-political confrontations while nearing the finalization of its Constitution. Even though the development sector was severely impeded, Hydro-Consult Engineering was able to manage these difficulties successfully while the working environment stretched to critical limits towards the end of the fiscal year.

As a leading engineering consultancy in Nepal, HCE continued to embrace customer-focused philosophy and worked closely with its customers to go extra mile for successful completion of its projects. The pioneering approach, innovation and application of modern technology to achieve appropriate solutions in hydropower sector are unique to HCE work environment. It provided engineering and socio-environmental services in national and international markets. Apart from completion of feasibility study, detail design and construction supervision



of several Nepalese projects, HCE established its international credentials by completing the feasibility study of 350 MW Turen More – Kari Hydropower Project and 260 MW Jamshill-Turen More Hydropower Project for Pakhtunkhwa Energy Development Organization (PEDO) in Pakistan in this fiscal year. This achievement will auger well for HCE to achieve sustained progress in its potential endeavors in national and international markets.

HCE has achieved consistent progress in technical and financial performances since its establishment and continued

this trend in this fiscal year as well. We look forward to sustain our position in coming days and continue to meet the expectations of our clients, shareholders and employees.

Finally, we are grateful to our valued shareholders and all stakeholders for their continued support and contribution to take the company forward.

Uttam Kumar Shrestha
Chairman

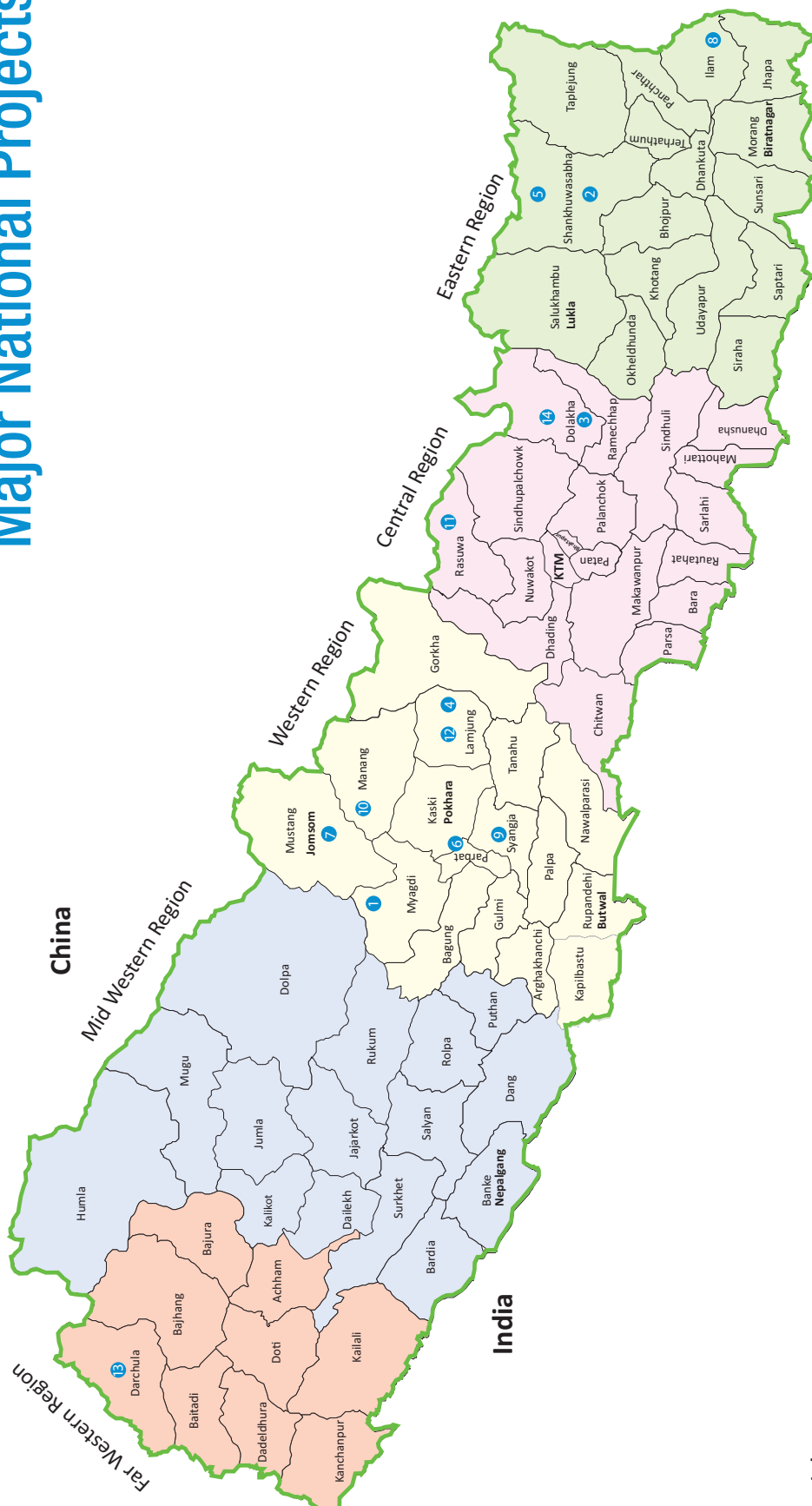


Location of International Projects



- Turen-More Kari Hydropower Project (**350 MW**)
- Jamshill Turen-More Hydropower Project (**260 MW**)
- Gura Hydropower Project (**5.0 MW**)

Location of Major National Projects



Index

1. Mistri Khola Hydroelectric Project (42 MW)
2. SankhuwaKhola-I Hydropower Project (~38 MW)
3. KhaniKhola (Dolakha) Hydropower Project (30 MW)
4. Nyadi Hydropower Project (30 MW)
5. SankhuwaKhola Hydropower Project (~30 MW)
6. Middle Modi Hydropower Project (15.1 MW)
7. Thapa Khola Hydroelectric Project (13.6 MW)
8. Upper Mai Hydroelectric Project (9.98 MW)
9. Andhi Khola Hydroelectric Project (Upgrading) (9.4 MW)
10. Chino Khola Small Hydropower Project (8.5 MW)
11. Nyam Nyam Khola Small Hydropower Project (6.0 MW)
12. Midimkhola (Kharpu) Hydropower Project (3 MW)
13. Nwa Gad Small Hydroelectric Project (1 MW)
14. Khimti 1 Hydropower Plant (60 MW)

Report from the Board of HCE

Dear Shareholders,

Your Board has pleasure in presenting the annual report and the audited statements of accounts of the company for the year ended July 16, 2015.

COMPANY PERFORMANCE

HCE has made significant progress in the FY 2071/72 in the international and national markets. In the International front, HCE completed the feasibility study of 350 MW Turen More – Kari Hydropower Project and 260 MW Jamshill-Turen More Hydropower Project for Pakhtunkhwa Energy Development Organization (PEDO) in Pakistan. HCE has carried out studies for these projects in joint venture with AGES Consultants Peshawar, Pakistan; Infra-D Consultant (IDC) Islamabad, Pakistan and Sheladia Associates Inc. USA. Norconsult AS, Norway was the Sub-Consultant for these assignments. In addition, the project management and construction supervision of 5 MW Gura Hydropower Project in Kenya continued in this fiscal year also.

In Nepal, HCE expanded its business by obtaining contracts for feasibility and detail design study of projects of Department of Electricity Development (DoED), Government of Nepal. HCE is carrying out feasibility and Environment Impact Assessment (EIA) studies of Sankhuwa Khola and Sankhuwa Khola-1 Hydropower Projects under DoED since October 2014. HCE is also carrying out EIA study of 93 MW Sharda-Babai Hydropower Project under DoED in Salyan and Dang districts from May 2014. In addition, HCE has signed the contracts with DoED for detailed engineering design of 23.5 MW Lower Hongu Khola Small Hydropower Project, 20 MW Inkhu Khola SHP, 15 MW Siwa Khola SHP and 6.2 MW Budhi Ganga Khola SHP at the end of this fiscal year. Moreover, in IPPs front; HCE has signed contracts for construction supervision of 42 MW Mistri Khola, 6.1 MW Upper Mai Cascade HP and tunnel supervision of headrace tunnel of 30 MW Khani Khola HP in this fiscal year. HCE has also signed contracts for detail design of 1MW Nwa Gad SHP and 3 MW Midim Khola SHP; and bill verification of 21.6 MW Lower Hewa Khola HP and 22 MW Solu HP.

HCE has completed the detail design of 42 MW Mistri Khola HP; support services for Lower Manang HP (100 MW), Kabeli A HEP (37.6 MW), Nyadi HP (30 MW) and Andhikhola Upgrading (9.4 MW); feasibility review, tender document preparation and detail design of Middle Modi HP (15.1 MW) in this fiscal year.



HCE has been continuing the construction supervision of Thapa Khola HP (13.6 MW), technical management and construction supervision of Upper Mai HP (9.98 MW); IPC verification of Hewa Khola A HP (14.9 MW) and Mai Khola HP (22 MW); tender document preparation and detail design of Nyam Nyam SHP (6 MW) and Khani Khola HP (30 MW).

In addition, HCE also completed the detailed engineering design and supervision of repair works of headworks of Khimti I HPP (60 MW). This is an addition to a specialized services after GLOF risk reduction project in Tsho Rolpa and repair works of Khudi HPP. This task gave us unique experience towards innovative design and numerical modeling jobs.

FINANCIAL PERFORMANCE

In the fiscal year 2071/72, the revenue from consultancy business was NPR 91.63 million. The net profit before tax was NPR 18.08 million. The shareholders' fund and net worth of the company has increased by 24.88% to NPR 57.39 million from NPR 45.96 million last year. Total assets has increased by 11.62% and reached NPR 77.81 million. The current ratio of 3.43 : 1 was maintained as on Ashad 31, 2072. The overall financial performance of the company is commendable.

HUMAN RESOURCE

HCE has established professionalism, goodwill and its own trademark in the market. HCE has a well-diversified team of professionals dedicated to provide reliable and quality services to its clients. Currently, more than 60 technical and non-technical personnel are employed in HCE. As a part of capacity building and career development, employees are encouraged to participate in trainings and workshops. FK Youth Exchange program with Multi Consult, Norway is also a part of this capacity building program.



RISK, CHALLENGES AND MITIGATION MEASURES

This year, Nepal faced the rage of nature in the form of two devastating earthquakes and their aftershocks. This caused vast damage to human lives and assets and also affected the national economy significantly. The development sector was the worst hit and the consulting business was at its lowest towards the end of the fiscal year. HCE was also affected adversely. The HCE office building was damaged and day to day operations had to be conducted in a temporary arrangement in Buddhanagar Party Place for a period of two months. HCE was also forced to postpone some of the studies and supervision works because of the damage to project sites where HCE was carrying out its activities. In addition, like previous years, loss of competent workforce due to the brain drain of technical human resources to the developed countries also affected HCE.

However, business environment is expected to improve in coming years owing to stable political climate after promulgation of the New Constitution. The government is planning to end load shedding in near future and restructure the power sector. The completion of cross-border transmission lines will be a huge step towards assuring the hydropower industry for investment. HCE is optimistic that these developments will enhance the business opportunities. In addition, the completion of feasibility studies in Pakistan of 350 MW and 260 MW projects as an international partner are expected to be a stepping stone for HCE in South Asian market.

BOARD OF DIRECTORS

The Board of Directors is constituted from the corporate representative of the shareholders namely BPC and PEEDA. In this structure, the Board consists of three representatives from BPC and one from PEEDA. There is provision of two alternative directors, one each from BPC and PEEDA. Presently, the Board is chaired by Mr Uttar Kumar Shrestha, who is also the CEO of



BPC. In the last fiscal year, PEEDA nominated Mr Pravash Devkota as the Alternative Director replacing Mr Muhan Maskey and the Board of Directors approved this in its twentieth Board of Directors Meeting on June 18, 2015. The Board extends its sincere thanks to Mr Muhan Maskey and takes pleasure to welcome Mr Pravash Devkota as Alternative Director of HCE. The Board constitutes following members:

1. Mr Uttar Kumar Shrestha	Chairman
2. Mr Pratik Man Singh Pradhan	Director
3. Mr Radheshyam Shrestha	Director
4. Mr Balaram Pradhan	Director
5. Mr Ratna Sambhava Shakya	Alt. Director
6. Mr Pravash Devkota	Alt. Director
7. Mr Manohar Shrestha	CEO

The Board of Directors constitutes the corporate representatives of the shareholders. The Directors possess broad range of skills, qualifications and experience. The Board meets regularly and all information in connection with items being discussed at a meeting of the board are provided to the Directors prior to the meeting. The Directors are responsible for providing strategic direction to the company, setting up corporate objectives, monitoring of operational and financial performance of the company's activities and the company's system of internal control. Mr Saroj Ghimire was the Company Secretary of HCE since 2012. He was replaced by Mr Hari Budhathoki on July 16, 2015 in the 21st Board Meeting. Mr Hari Budhathoki is the Company Secretary from Shravan 01, 2072.

The Board has also constituted the Audit Committee and the Budget Committee as follows:

AUDIT COMMITTEE

1. Mr Radheshyam Shrestha	Chairman
2. Mr Ratna Sambhava Shakya	Member
3. Mr Pravash Devkota	Member



BUDGET COMMITTEE

- | | |
|-----------------------------|----------|
| 1. Mr Ratna Sambhava Shakya | Convenor |
| 2. Mr Pravash Devkota | Member |

CORPORATE GOVERNANCE

HCE thrives to be a good corporate citizen and has a strong notion of ethical business. It also considers corporate governance as a central aspect of business in the modern market economy. Recognizing the importance of corporate governance, the clear division of the responsibilities of the Board and the Management has been made as the Board performs the supervisory role whereas the Management executes the directions of the Board and the General Meetings.

In addition to this, for complying the corporate governance principles, the Board and the Management have ensured that there is sound administration and efficient use of resources; and also has the best mechanism of recruiting the employees. The Company has also ensured that the laws and the regulations have been regularly observed and have established good rapport with the client. Further, the Board has also constituted committees like Audit Committee and Budget committee as mentioned above to ensure that the finances have been adequately used and complied.

RELATION WITH THE CLIENTS

HCE motto is to aim for growth and quality by integrating economic, environmental and social considerations in partnership with its clients. HCE has established professionalism, goodwill and its own trademark in the market and finds Nepali Solution for its client to meet the challenges from its pool of Nepalese experts. HCE's clientele consists of the BPC and subsidiaries of BPC, financial institutions, government and semi-government entities, local and foreign developers, and international institutions.

STATUTORY AUDIT

M/S S R Pandey & Co., Chartered Accountants has been appointed as a statutory auditor for FY 2071/72. The auditor has issued unqualified report on financial statements of FY 2071/72 (FY 2014/15).

INVOLVEMENT IN SOCIAL AND BUSINESS ASSOCIATION

HCE has been enlisted with Asian Development Bank. HCE has been partnering with Multiconsult, Norway in the FK Youth Exchange Program. HCE is a member of ACECOMS (Asian Institute of Technology (AIT), Thailand) and Society of Consulting Architecture and Engineering Firms (SCAEF), Nepal.

HEALTH AND SAFETY

HCE has developed a cordial working environment for its employees at all levels. It has taken all the measures for the safety of its employees at the office and at the site. Special care has been taken and guidelines and norms for the safety have been developed for the employees. There is a provision of accident insurance covering 24 hours a day, medical insurance and travel insurance for the employees. In the same way, fire and other general insurance policies have been taken for the safety of the office premises and other assets.

Employees are provided with sick, mourning, maternity and personal leaves considering their requirement.

CORPORATE SOCIAL RESPONSIBILITY AND OUTREACH ACTIVITIES

Throughout the company's journey, HCE has designed programs as elements of an integrated and balanced economy, as well as social development where people matter more than money and statistics. This year, HCE contributed in cash and kind, as part of its CSR activity, to the victims of April and May earthquakes. HCE contributed a total of NPR 500,000.00 to the Prime Minister Fund of which NRs 217,962.00 was from HCE staffs contribution. In addition, HCE engineers also contributed 532 work hours to assess the risk and damage caused to the infrastructures and properties after the earthquake. HCE management is thankful to its staff for their initiatives and contribution to help the earthquake victims.

FUTURE PROSPECTS

The last fiscal year was one of the most challenging for development sector in Nepal. HCE successfully managed the



after effects of the earthquakes and socio-political unrests by exceeding its financial growth. HCE has opened up new avenues in South Asia by successfully completing the feasibility study of two major projects in Pakistan as an international consultant. The ongoing construction supervision works of Gura Project in Kenya are being lauded by the clients and HCE has the potential to strengthen its presence in African hydropower market.

Government of Nepal is initiating steps to attract the investment in hydropower sector by various policy reforms that include inter-agency coordination committee for issues in power sector, establishment of separate company for transmission and generation, new PPA guidelines for NEA, incentives for early completion of hydropower project etc. These developments promise fair investment scenario for Independent hydropower developers and provide HCE's hard earned expertise in Nepalese hydropower industry to expand its business to new heights.

CLOSING REMARKS

We are grateful to all the stakeholders who have contributed to the progress of HCE in this fiscal year. We express gratitude to the different government agencies, BPC and its sister concerns, PEEDA, internal and external auditors, our valued clients, bankers and individuals and institutions for their support of the company in the FY 2071/72.

We thank the members of the Board Committees, Management Team and Employees for their dedication and commitment for fulfilling their roles effectively for the betterment of HCE.

Thank you,

On behalf of the Board of Directors

Uttam Kumar Shrestha

Chairman

Date: December 18, 2015



CEO's Perspective

HYDRO-CONSULT ENGINEERING TODAY

Hydro-Consult Engineering (HCE) is ready to contribute and take more responsibilities in nation building, with a contribution to the society, through sustainable and innovative design of hydropower projects. HCE provides consulting services adhering to the prevailing norms and codes of ethics, and sets a standard in the process of the project planning, design and implementation.

Butwal Power Company (BPC), the parent company, was established in 1966 that laid the foundation for consultancy business for Hydro-Consult Engineering. HCE has carried out its legacy since then. Now, its engineering consulting services has extended within the country from small to 140 MW size project with more extended clientele base, and up to 350MW abroad.

We have continued good collaboration with Multiconsult AS, Norway in professional youth exchange program supported by FK exchange program. Our two young Nepali engineers are working in Multiconsult, Norway and two young engineers from Multiconsult are working in Hydro-Consult Engineering. This program has not only given more confidence and knowledge, enhancing professional capabilities of the individuals; it has also built up trust and brought the two organizations closer.

We have been involved in the planning, design, supervision, and project management of hydropower projects for a long period and are proud to maintain a qualified pool of in-house expertise in diversified fields. Now, while maintaining hydropower as our strength, we aspire to explore the alternative energy sources like solar and wind by mobilizing these expertises.

CUSTOMERS SATISFACTION - KEY TO SUCCESS

We respect and value our customers. During years of its service, the standard mode of operation for any of our projects has been to understand our customer's interests and views with extensive discussions beginning from the initial phase. This has always helped us to meet the interests of our customers and made the project environmentally sustainable and socially acceptable. From our experience, we can say that this approach, not only ensures timely and cost effective execution of the project but also ensures smooth operation for the years to come.





CONSISTENT GROWTH OF THE ORGANIZATION

Apart from independent power producers in Nepal and abroad, HCE expanded its client base to government institution by obtaining feasibility, detail design and Environmental Impact Assessment projects under Department of Electricity Development. At present, HCE is carrying out studies of eight GoN projects in joint venture with different local consultants.

HCE maintained its consistent financial performance in this fiscal year also. HCE earned total revenue of NPR 91.63 million from its consultancy business and the profit before tax was NPR 18.08 million that is 19.39% of the revenue. The transaction of HCE with its Nepalese clients, international clients and its parent company BPC and its subsidiaries was NPR 49.93 (54.5 %), NPR 38.77 million (42.3 %) and NPR 2.93 million (3.2 %) respectively.

FUTURE PROSPECTIVES

As hydropower sector and its development are earmarked as the major sector for development of Nepal in government policies, there is a big opportunity to companies like HCE. In addition, to expand its scope, HCE is also exploring opportunities to diversify its services in transmission line, solar power, wind power, irrigation, transportation and other infrastructure sectors as well.

CONCLUDING REMARKS

It is not possible for a company to succeed and to achieve good results year after year without the effort of all the stakeholders. I would like to thank our valued shareholders, Board of Directors, HCE employees and all stakeholders for their efforts and look forward to always working together for the betterment of the company. Their continued support enhances our confidence and also makes us more responsible to provide better professional services in the coming days for the development of the society and the nation.

Manohar Shrestha
Chief Executive Officer

Project Coordination TEAM MEMBERS



Top Row:

Krishna Neupane
Manager, Sr. Hydrologist.

Bibek Neupane
Manager, Hydropower
Engineer

Ashok Joshi
Assistant Manager, Admin/
HR

Diwash Lal Maskey
Manager, Hydropower
Engineer

Middle Row:

Diwakar Khadka
Manager, Sr. Engineering Geologist

Basanta Bagale
Sr. Manager, Hydropower Engineer

Bandhu Dhakal
Sr. Manager, Sr. Hydrologist

Rabindra Ranjit
Assistant Manager, Accounts/Finance

Bottom Row:

Pranav Acharya
Sr. Manager, Environment Chief

Saroj Lal Shrestha
Sr. Manager, Hydropower Engineer

Manohar Shrestha
CEO

Bharat Raj Pandey
Chief Engineer

Ram Bhakta Karki
Senior Consultant, Electrical and
Electromechanical

PC Members

Missing in the Photo
Soyuz Gautam
Manager,
Sr. Structural Engineer

Shyam Prasad Bhusal
Manager, Water Resources
Engineer

Corporate Governance Report

A sustainable growth and perpetual existence of a corporate house is possible through properly guided, directed and controlled governance. HCE Board of Directors upholds good governance of the company. The HCE management believes on the spirit of the corporate governance; safeguarding the interest of all stakeholders and continual progress of the company. Corporate governance comprises the management of risk, safeguarding of assets, avoidance of uncertainty, ensuring compliance, preservation of the rights of the shareholders, management and the employees and enhancing company's goodwill in the corporate sector.

The Company's governance practices are also based on the following broad principles with the objective of adhering to the highest standard of governance through continuous evaluation and benchmarking:

- The Board is constituted with well experienced members having proven corporate leadership.
- There is 100% representation on Board by non-executive directors.
- The strategies adopted and administration governance is transparent and follows adequate procedures.
- The Company practices high level of disclosures for dissemination of corporate, financial and operational information.
- The Company has formed Audit Committee and Budget Committee represented by the non-executive directors.
- The Board has appointed and entrusted the CEO to run its affairs and the CEO is responsible to the Board.
- The Meeting of the Board of Directors is conducted on regular basis and the Directors actively take part in the discussion and resolution on the agendas presented.
- The Board is regularly informed about the progress of the projects and takes consent of the board in the matters where required.
- The Company has well defined corporate structure that establishes checks and balances and delegates decision making to appropriate levels in the organization to all its stakeholders.
- HCE has provision of internal audit on quarterly basis. The internal audit function is outsourced to maintain independence and fair appraisal of company's governance system.

- All the operations are carried out based on the written procedures and manuals of the company
- For effective financial control; budget formulation, approval and evaluation are conducted on quarterly basis.

BOARD OF DIRECTORS

HCE Board Members act in good faith in the best interest of the company and are well aware of their individual and collective responsibility towards the institutional shareholders. HCE Board of Directors consists of four members and two Alternate Directors. For the fiscal year 2071/72, the Board was reconstituted once. The Board is chaired by Mr Uttar Kumar Shrestha, the CEO of BPC. There are four representatives including one Alternative Director from BPC, two representatives from PEEDA including one Alternative Director. A total of 7 Board meetings were conducted during the fiscal year 2071/72(2014/15). The attendees of the meetings were:

SN	Name	Position	Number of meeting attended
1	Uttar Kumar Shrestha	Chairman	7
2	Pratik Man Singh Pradhan	Director (Past Chairman)	6
4	Radheshyam Shrestha	Director	6
5	Balaram Pradhan	Director	4
6	Ratna Sambhava Shakya	Alt. Director (former Director)	2
7	Muhan Maskey	Alt. Director (presented as Director)	2
8	Manohar Shrestha	Chief Executive Officer	7
9	Saroj Krishna Ghimire	Company Secretary	6

THE ROLES OF THE BOARD OF HCE ARE TO:

1. Ensure legal and internal control compliance.
2. Review, monitor and approve major financial and corporate strategies.
3. Review, monitor and approve budgets and financial results and approve policies and business strategies.
4. Delegate appropriate authority to the management to conduct business activities effectively and efficiently.
5. Ensure goal congruence between the shareholders and the management through good governance.
6. Work for the benefit of the institutional shareholders and the company.

FEES AND ALLOWANCES

HCE Board of Directors represents the institutional shareholders. HCE has been paying meeting allowances to its Board members, Audit Committee and Budget Committee members. Board members representing BPC are ex-officio representative holding senior management positions in BPC.

INTERNAL AUDIT

To maintain the independence and objectivity of risk management; fair financial and accounting procedures and effective control and safeguard of assets, the internal audit of HCE was outsourced to M/S Kuber & Company. The internal audit was carried out on a quarterly basis and reports were submitted to the Audit Committee. The HCE management has effectively implemented the suggestions received from the internal auditor and the decisions of the Audit Committee.

Functions of the Internal Auditor:

1. To review and recommend on the procedures and internal control system.
2. To ensure that the laid down guidelines and procedures are adequate to safeguard the company's assets and mitigate the associated risk.
3. To ensure that the risk management policies and procedures have been developed and implemented effectively.
4. To review adherence to all the legal compliances and constructive obligations by the company.

EXTERNAL AUDIT

M/s S R Pandey & Co audited the books of accounts of HCE for the fiscal year 2071/72 (2014/15). HCE has received the unqualified audit report for its financial statements.

MANAGEMENT AND EXECUTION

HCE has a blend of professionals to manage the business of the company. The HCE executive team is led by its CEO, Mr Manohar Shrestha. The Board of HCE oversees the business operation and guides the management on strategic issues.

CODE OF CONDUCTS AND ETHICS

HCE has a set of code of conducts and ethics to be complied by all the Staff, Management, Board and the organization. HCE believes in good corporate citizenship and ethical values. HCE adheres to professional competence, professional behavior,

confidentiality, objectivity and integrity in all its business activities.

SHAREHOLDING PATTERN

HCE has two institutional shareholders. The shareholding details are as follows:

Shareholder	Number of Shares Held	Shareholding %
Butwal Power Company Ltd	94,228	80%
People, Energy and Environment Development Agency(PEEDA)	23,557	20%
Total	117,785	100%

TRANSPARENCY AND DISCLOSURES

HCE values the corporate governance principles and maintains transparency in its business operations and disclosures as required. The disclosures on related party transactions and significant accounting policies are made in the notes to accounts section of the financial report.

SHAREHOLDERS' INFORMATION

BUTWAL POWER COMPANY (BPC)

Butwal Power Company (BPC) stands today with around 50 years of experience in the hydro-power industry and has placed itself as one of the leaders in the energy sector. The core business areas of the company are generation and distribution of electricity.

Pursuing the privatization process in 2003, the Government of Nepal handed over majority ownership and management control of BPC to private investor on public-private partnership model. BPC is registered with the Securities Board of Nepal and listed in Nepal Stock Exchange Limited. Starting off with electrification plan of a small city in the Southern Hills of Nepal, BPC is the only enterprise which can look back to a five decades long history of sustained growth in the country and a track record of a pioneering multi-faceted capacity building initiatives in hydropower development. With its new major projects Nyadi, Kabeli-A and Lower Manang Marsyangdi, BPC will have installed capacity of nearly 300 MW of generation facility in the near future.



Name: Butwal Power Company Limited
Registration number: Pa.Li.No.3-049/50
Date incorporate: 29 December, 1965 (2022/09/14 BS)
Date Converted into public limited Company: 17 February, 1993 (2049/09/06 BS)
Registered/Corporate Office: Gangadevi Marga-313, BuddhaNagar, Kathmandu, Nepal
Stock exchange listing: Nepal Stock Exchange (NEPSE), as BPCL

PEOPLE, ENERGY & ENVIRONMENT DEVELOPMENT ASSOCIATION (PEEDA)

People, Energy & Environment Development Association (PEEDA) was established in 1998 through the joint effort of various hydropower related organizations and United Mission to Nepal (UMN) for the enhancement of renewal energy sector in Nepal. PEEDA aims to mobilize local as well as external resources to harness the indigenous resources of the country thereby promoting poverty alleviation activities. It focuses mainly on institutional development, participation with stakeholders at grass root levels in development activity, research and lobbying for policy change. PEEDA's team, with its gained experiences in the energy and development sectors, envisioned that economic development can be achieved through sustainable energy development activities, with particular emphasis of seeing this development reach the poor.

PEEDA has also been supporting institutions which have a goal of serving the needs of those developing the water resources of Nepal. It owns 20% shares of Hydro-Consult Engineering Ltd and 50.08% shares of Hydro Lab Pvt Ltd.

PEEDA has also conducted several training events related to management of the energy sector with the aim of building the capacity of people involved in the development sectors. It has also collaborated with other organizations in the research and development of Pico Hydro and has regularly been organizing workshops and seminars to promote such activities.

Name: People, Energy & Environment Development Association(PEEDA)
Registered At: District Administration office, Kathmandu
Registration number: 85/054/55
Date incorporate: 17 August, 1997 (2054/05/01 BS)
Registered At: Social Welfare Council (SWC)
Registration number: 19445
Date Incorporate: 20 March, 2006 (2062/12/07 BS)
Registered/Corporate Office: Devkota Sadak, Mid Baneshwor, Kathmandu, Nepal

Views on FK Exchange Program



Lars Jørgen Saaghus

I am grateful to be participant in the FK exchange program between Hydro-Consult and Multiconsult (Norway). The amazingly beautiful and spectacular Nepali nature, the friendly people and the many interesting ongoing hydropower projects have made unforgettable memories. The exchange program provides the opportunity for young engineers to get international experience, share and gain both cultural and professional knowledge and making lifelong friendships. The knowledge, relations and friendships that are established during the years of exchange will benefit both partner organizations and individuals beyond the borders of the exchange program.



Lunish Yakami

I sum up a year with Multiconsult AS in Norway as an FK participant as a changed learning graph in a different working culture. I was involved in identifying project opportunities for Multiconsult AS from Asian, African and Latin American countries. I had opportunity to work on hydropower projects from Bhutan and Norway as well that acquainted me to the modus operandi of handling international projects. The journey from a country where the resources are yet to be tapped to its minimum potential to the country which enjoys the resources at its optimum potential couldn't have been easier if there was no collaboration with Hydro-Consult Engineering, Multiconsult AS and FK Norway. Big thanks to all.

Board Members Brief resume



Mr Uttar Kumar Shrestha
Chairman

Mr. Uttar Kumar Shrestha is the Chief Executive Officer of Butwal Power Company (BPC) and is responsible for its overall operation and management. Prior to joining BPC, he was the Managing Director of Nepal Electricity Authority (NEA). He has served NEA for more than 20 years in different capacities. Mr. Shrestha holds sound knowledge on hydropower development, project financing, negotiations with IPPs and extensive experience in negotiation with different bilateral and multilateral donor agencies, local financial institutions for financing and implementation of various projects. Mr. Shrestha has attended various Executive Management Development training programs and has participated as an expert in various national and international forums related to hydropower development. He had also served various hydropower companies as a Chairman/Board Member during his service period at NEA. He was also a member of the Electricity Tariff Fixation Commission, appointed by Government of Nepal.

Presently, he is Board Member of Nepal Hydro Electric Co. Ltd, Khudi Hydropower Co. Ltd, Guransh Energy Ltd, Alt. Board Member of Nyadi Hydropower Ltd and Kabeli Energy Ltd.

Similarly, he is also associated with various professional organisations such as Management Association of Nepal (MAN), The Institute of Chartered Accountants of India, The Institute of Chartered Accountants of Nepal, Nepal Hydropower Association (NHA), Electricity Development Council (EDC), Independent Power Producers' Association of Nepal (IPPAN) and International Association of Electricity Generation, Transmission & Distribution – Afro Asian (IAEGTD)

Mr Shrestha is a Certified Chartered Accountant from the Institute of Chartered Accountants of India and holds Masters in Business Administration degree from Tribhuvan University, Nepal.



Mr. Pratik Man Singh Pradhan
Director

Mr. Pradhan is the Vice-President for Business Development and Project Function at Butwal Power Company, a leading private sector hydropower developer in Nepal.

Mr. Pradhan is a hydropower planning and development expert with over 24 years of experience in the planning, preparation, development and implementation of the hydropower projects in Nepal. His key experiences include providing technical and managerial oversight of implementing and upgrading of hydropower projects, preparing projects for implementation, and working on environmental hydraulics issues.

Recently, he completed the challenging works of upgrading and commissioning of the 9.4 MW Andhi Khola Hydroelectric Project. He is responsible for the planning, development and implementation of new hydropower projects, like 37.6 MW Kabeli A Hydropower Project, 30 MW Naydi Hydropower Project, 100 MW Lower Manang Marsyangdi Hydropower Project and 8.5 MW Chino Hydropower Project.

Mr. Pradhan has provided leadership in a hydraulics research laboratory and has extensive experience in the construction of dams, intakes, and tunnels for a number of hydropower projects in Nepal.

Mr. Pradhan has a Bachelor's degree in Civil Engineering from India and a Master's in Science in Hydropower Planning and Development from the Norwegian University of Science and Technology, Norway, as well as a second Master's degree in Civil and Environmental Engineering from the University of Michigan, Ann Arbor, USA.



Balaram Pradhan
Director

Mr. Balaram Pradhan is the Founder Executive Life Member of People Energy & Environment Development Association (PEEDA), a non-governmental organization with the main objective of improving the livelihoods of communities; particularly the poor, by collective utilization of renewable energy resources while ensuring due care to the environment. PEEDA executes various donor-funded projects like Pro Poor Hydropower Pilot Project, Bio-Fuels Project, Low Head Pico Hydro Promotion Project etc. Mr. Pradhan is involved in PEEDA since its establishment for last seventeen years; of which, six (6) years were as President.

Mr. Pradhan has over 43 years of professional experience in hydropower and project management in various engineering companies. Presently, he is the Chairman of Hydro Lab (P) Limited. Prior to this, he was involved with Nepal Hydro & Electric Ltd (NHE) and Butwal Power Company (BPC) as Chief Executive Officer and Manager respectively.

Mr. Pradhan holds Post Graduate Diploma in Electric Power Systems from NTH, Norway and BSc Engineering in Electrical Engineering from IT, BHU, Varanasi, India.

Board Members **Brief resume**



Mr. Radheshyam Shrestha
Director

Mr. Radheshyam Shrestha holds the position of Vice-President-Finance in BPC. Mr Shrestha is responsible for BPC's financial operations, investor and stakeholder relations. He is also the Chairman of Audit Committee of Hydro-Consult Engineering Ltd.

Mr Shrestha has served for 31 years in different positions in Nepal Rastra Bank (NRB), the Central Bank of Nepal. He had held the position of Directors of Financial Management Department and Bank and FI Regulation Department at NRB. He had also worked as Professional Accountant in CSC & Company and R Bajracharya & Co, Chartered Accountant firms after the NRB service.

A Fellow Chartered Accountant (FCA) from the Institute of Chartered Accountants of India, Mr. Shrestha holds a Master's Degree in Commerce from Tribuvan University.



Mr. Ratna Sambhava Shakya
Alt Director

Mr. Ratna Sambhava Shakya brings 32 years of experiences in the field of Finance, Auditing and Corporate management. Mr. Shakya is with BPC since 1994. As a Chief Finance Manager in BPC, he was successful in achieving National Best Presented Accounts Award from ICAN in manufacturing sector for six consecutive years 2005-2010 for excellence in financial governance and transparency in financial reporting. This had been recognized from South Asian Federation of Accountants by awarding certificate of Merit for two consecutive years for Best Presented Accounts and Corporate Governance Disclosures Awards in 2009 and 2010. On his leadership as Head of Corporate, Mr. Shakya was successful to resolve the conflict with Union having five years CBA Agreement with Employees Union maintaining sustainable industrial peace in BPC.

Mr. Shakya holds Master's Degree in Business Administration from Tribhuvan University.



Mr. Prabhash Devkota
Alt. Director

Mr. Devkota is a promising scholar with high level of integrity and dedication to independently carry out research and project assignments. His experiences include a wide spectrum of specialization ranging from rural development, aid politics, governance, media, culture and capacity development. He has demonstrated his leadership and management skills by establishing an organization Alliance for AID Monitor Nepal and in a four years time-frame converted it as one of the leading organizations working around the issues of AID and Development effectiveness in Nepal along with strong collaborations and engagement with regional and global organizations. The publication entitled "Changing Paradigms of Aid Effectiveness in Nepal" edited by Prabhash Devkota and published by Alliance for Aid Monitor Nepal in 2011 is a significant contribution to the field of foreign aid in Nepal. Similarly, another publication under his editorship is entitled as 'Foreign Aid and Making of Democracy in Nepal'.

Mr. Prabhash Devkota holds a degree of MA in Rural Development from Tribhuvan University (TU), Kathmandu

Key Staff Brief resume



Manohar Shrestha
Chief Executive Officer

Education: MSc in Hydraulic Structure, Lumumba University, Moscow, Russia; MSc in Hydropower, Norwegian University of Science and Technology (NTNU), Norway.

Experience: Over 26 years of experience in design, construction management/ supervision and overall planning of hydropower projects and consulting business. Design experience in various projects from 1 MW to 350 MW projects in Nepal, Bhutan, India, Pakistan and Kenya. He has consulting job experience with international firms that include Statkraft Engineering, Norplan, Norconsult, Bernard, Hydro Tasmania, Mott MacDonald etc.

Mr. Shrestha is the Founder Member and Treasurer of Nepal Hydropower Association (NHA); Former General Secretary and President of Nepal Norway Alumni Association; and Board Director of Hydro Lab Pvt Ltd and Hydro Fund for Hydro Investment.



Bharat Raj Pandey
Chief Engineer

Education: PhD Fellow, University of Newcastle, Upon Tyne UK; MSc in Hydraulic Engineering, IHE Delft, Technical University of Delft, Netherlands; BSc Eng, in Civil Engineering University of the East, Manila, Philippines. Chattered Engineer Reg. No.: 575823, Engineering Council of UK

Experience: Over 25 years of professional experience in design and construction supervision of hydraulic structures, bridges, hills roads and tunnels. Key experience in structural analysis and design of various components of hydropower projects, structural and hydraulic design of bridges. Mr. Pandey has managed construction projects and was involved in preparation of safety standard for hydropower projects. He has also served as Course Coordinator of MSc in Bridge Engineering in Institute of Engineering, Nepal.



Saroj Lal Shrestha
Sr. Manager, Hydropower Engineer

Education: MSc in Hydropower Engineering, Odessa State Academy of Civil Engineering and Architecture, Odessa, Ukraine.

Experience: Over 20 Years of professional experience in engineering design, tender document preparation/ procurement process, project management/ construction supervision in hydropower engineering consulting business. Experienced in 1 MW to 300 MW hydropower projects in Nepal and abroad for feasibility studies, detail design, due diligence, construction supervision as well as engineering management. Consulting job experience with various international organization such as Acres International (Canada), Canadian International Water and Energy Consultant (CIWEC), BPR Inc. (Canada), Norplan etc. Currently, involving as a International Consultant for Kenya Tea Development Agency (KTDA) in Gura Hydropower project (5 MW) Nyeri in Kenya and responsible for Overall project management, quality control/construction supervision and coordination with Client & Contractor etc.

Key Staff Brief resume



Pranav Acharya

Sr. Manager, Environment Chief

Education: MSc (Environmental Management), National University of Singapore, Singapore; MA (Sociology and Anthropology), TU, Nepal; BSc (General Forestry), Institute of Forestry, Nepal; BSc (Biology), TU, Nepal.

Experience: An environmental professional with over 19 years of experience in both natural and built environment management. Adept in conservation management as well as technical monitoring across various environmental and social media; his core abilities include conducting in-depth research, analysis and review towards the provision of advisory services in the field of environmental management, green product and services, environmental and social safeguards and management frameworks, environmental due diligence and urban environmental management.



Basanta Bagale

Sr. Manager, Hydropower Engineer

Education: MSc in Water Resource Engineering, IOE, TU, Nepal; BE in Civil Engineering, IOE, TU, Nepal; BSc Physics, Tri-Chandra College, TU, Nepal

Experience: Over 17 years of professional experience in project coordination management, design, construction supervision, leading design engineering team, dealing with community during project design & construction has so far a promising career in which he has designed/planned/development and reviewed feasibility study, detailed design, prepared tender documents, due diligence studies and supervise construction work of more than 15 hydropower projects ranging from 1 MW to 144 MW projects in Nepal. He also has consulting job experience with NORPLAN and Mott MacDonald. He has also taught courses in waterpower engineering as a Lecturer.



Bandhu Dhakal

Sr. Manager, Sr. Hydrologist

Education: MSc Water Science and Engineering, Surface Water Hydrology, UNESCO-IHE, The Netherlands; BE in Civil Engineering, IOE, TU, Nepal.

Experience: Over 15 years of professional experience in construction management and supervision of the hydropower projects from 5MW to 13.6 MW, Detailed engineering design of the hydropower projects from 5MW to 48 MW and Feasibility study of the projects up to 260 MW. Experience in hydraulic design of different components of the hydropower projects, hydrological data collection and analysis, quality check of design, drawings and reports, budgeting, team mobilization, resources scheduling, progress monitoring, coordination with the Client and the Contractors.

Key Staff Brief resume



Diwash Lal Maskey

Manager, Hydropower Engineer

Education: MSc in Hydropower Development, NTNU, Norway; BE in Civil Engineering, WRC, IOE, TU, Nepal

Experience: Over 10 years of experience in the field of hydropower projects that include project management planning, project layout studies, hydraulic and structural design of civil components and preparation of tender documents for the national and international projects ranging from 1MW to 260MW. Experience in the works of numerical modeling of hydraulic structures. Has worked in the proposal/bid preparation for consultancy services for the government and private jobs in national and international levels.



Shyam Bhusal

Manager, Water Resources Engineer

Education: MSc in Water Resources Engineering and Management, Asian Institute of Technology (AIT), Thailand; BE in Civil Engineering, IOE, TU, Nepal; MA Sociology, TU, Nepal.

Experience: Over 15 years of professional experience in hydrological and GIS analysis, hydrologic and hydraulic modelling, design of various hydraulic structures, project management, contract management, preparation of ICB tender documents meeting the general requirements of WB, IFC and Nepal government, preparation of Risk Management Report, Plant and Design Build tender documents and NCB tender documents.



Bibek Neupane

Manager, Hydropower Engineer

Education: MSc in Hydropower Development, NTNU, Norway; BE in Civil Engineering, Kantipur Engineering College (KEC), TU, Nepal.

Experience: Over 9 years of professional experience in study of hydropower projects in different phases from conceptual planning to construction level design. Design experience includes hydraulic design of headworks and waterway system, preparation of tender documents. Has special interest in rock engineering and design of rock support for underground construction. Has been involved in due diligence studies and verification of Interim Payment Certificates (IPC) as consultancy to financial institutions during pre-construction and construction phases of various projects.

Key Staff Brief resume



Soyuz Gautam

Manager, Sr. Structural Engineer

Education: MSc in Structural Engineering, IOE, TU, Nepal; BE in Civil Engineering, IOE, TU

Experience: Over 8 years of professional experience in Capacity Building of civil engineers in Structural Analysis and Design, Hydraulic Design, Construction Management and Planning, Preparation of contract/tender documents, Design Base Memorandum/Guidelines, Quantity Estimation and Cost Optimization, Rate Analysis, Quality Control of Reports and Construction drawings, Bill verification of Construction Projects.



Krishna Neupane

Manager, Sr. Hydrologist/Contract Management

Education: ME in Water Engineering and Management, AIT, Thailand; BE in Civil Engineering, IOE, TU, Nepal.

Experience: Over 16 years of professional experience in project planning and management, hydraulic design of hydropower and irrigation projects, hydrological analysis, quantity and cost estimation of civil engineering structures, feasibility study and detailed designs, tender document preparation, contract management and construction supervision/quality control, disaster risk reduction, preparation of proposals, report preparation and project identification, planning, design and implementation of community infrastructure projects such as water supply, irrigation, green roads, landslide, gully control etc.



Piyush Sainju

Manager, Sr. Electrical Engineer

Education: BE in Electrical and Electronics Engineering, Kathmandu University (KU), Nepal

Experience: A dynamic engineer holding more than 10 years of professional experience in design and study of electrical system for hydropower projects ranging from 1 MW to 200 MW for national and international projects. He has been involved in preparation of technical specifications of electro-mechanical and transmission line works, supervision of installation of electrical equipment in powerhouse and transmission line and testing and commissioning of the Project. He had been involved with Rural Electrification works through projects notably like Rural Electrification Expansion Project (REEP), Rural Electrification Global Development Alliance of Nepal (REGDAN) funded by Norwegian Government and NORAD which include design of substations, transmission & distribution lines and survey works.

Key Staff Brief resume



Diwakar Khadka

Manager, Sr. Engineering Geologist

Education: MSc in Geology, Central Department of Geology, TU, Nepal.

Experience: Over 11 years of professional experience in geological and geotechnical studies/assessments for several hydropower projects in their pre-feasibility, due-diligence, feasibility, detail design and construction supervision stages of development. His key expertise include planning and conducting surface/subsurface Field Investigations, preparing Engineering Geological and Hazard Maps, Geological Base Line Report (GBR) and Risk Management Plan (RMP); Rock Slope Stability Assessment, Underground Rock Support Design; Seepage and Stability analysis of rock fill dams; and mineralogical analysis of suspended river sediments. In addition, he also has experience in geological investigation for mining industry (limestone deposit for Cement Industry) and teaching experience in Environment Geology.



Balram Bhattarai

Senior Environmentalist

Education: MSc in Environmental Management, School of Environmental Management and Sustainable Development (SchEMS), Pokhara University (PU), Nepal.

Experience: Mr. Bhattarai has over 11 years of professional experience in environmental studies (EIA/ESIA/IEE) of various hydropower and transmission line projects, forest resource inventory, biomass calculation and silvicultural assessment of different forests type, and planning and implementation of Environmental Management and Monitoring Programs (EMMP) in manufacturing industries. Mr. Bhattarai has accomplished a number of environmental study projects up to 140 MW as an Associated Team Leader/Forest Expert/ Environmentalist and as a study member. He also exhibit expertise on environmental and social safeguard and management frameworks, post construction environmental performance studies and environmental due diligence studies for bank financing



Amrit Poudel

Senior Environmentalist

Education: MSc in Environmental Science, TU, Nepal, 2004.

Experience: Over 9 years of professional experience in carrying out environmental studies, Environmental Impact Assessment, Initial Environmental Examination, Environment Management Planning, Environmental Safeguard and Environmental Evaluation. His core expertise includes impact assessment, integrated water resources management, water and environmental strategy, environmental policies and legal frameworks and resource conservation issues. He has experience working in the environmental projects of Nepal, Norway, Vietnam, Cambodia, Lao PDR, Thailand, Malawi, Tanzania and Uganda.

Key Staff Brief resume



Om Bahadur Gurung
Sr. Civil Engineer

Education: BE in Civil Engineering, IOE, TU, Nepal

Experience: Over 10 years of professional experience in structural analysis and design of civil structures; design of waterway system; feasibility studies for detailed designs and construction works; quantity and cost estimation of civil designs; construction supervision/quantity control; construction drawing preparation; rate analysis and preparation; report preparation.



Ashok Joshi
Assistant Manager, Admin/HR

Education: MA Sociology, TU, Nepal

Experience: Over 11 years of professional experience in administrative works that includes human resource management and outsourcing, travel management, insurance issues, health and safety and day to day office administration. Mr. Joshi has also handled national and international communication and liaising along with event managements successfully.



Rabindra Ranjit
Assistant Manager, Accounts/Finance

Education: Master in Business Studies (MBS), TU, Nepal

Experience: Over 15 years of professional experience in accounting and finance administration. Mr Ranjit has experience of overseeing accounting and financial matters of multiple sectors that includes Non-Governmental Organizations, co-operatives, manufacturing companies and consultancy business.

Key Staff Brief resume



Ram Bhakta Karki
Senior Consultant, Electrical
in Electromechanical

Education: MSc in Electrical Engineering, Belorussian Polytechnic Institute, Minsk, USSR; BA in Economics and Political Science, TU, Nepal; Electrical Engineering Diploma, TU, Nepal.

Experience: Over 37 years of professional experience in design of electromechanical equipment, supervision on installation, testing and commissioning of electromechanical equipment of hydro-power projects in Nepal, Pakistan and Kenya; operation and maintenance management of hydro-power plants, witness on factory acceptance test (FAT) of plants and equipment of different hydropower projects at manufacturing workshops in China, India, Europe. Involved in due diligence of plant & equipment manufacturing base in India, China, Spain, Austria and Turkey for hydropower projects. Providing, as an expert, advisory service on national guidelines preparation on Hydropower System Optimization to the Department of Electricity Development, under Ministry of Energy, Government of Nepal.



Narendra Man Patrabansh
Senior Consultant, Contract Management

Education: MSc in Manufacturing Engineering and Management, The University of Birmingham, UK; BE in Mechanical Engineering, Victoria Jubilee Technical Institute, Bombay, India.

Experience: Tender document preparation of civil works, electro-mechanical works and hydro-mechanical works of hydropower projects based on FIDIC Conditions of Contract for Construction, Plant & Design Build and EPC. LCB tender document preparation of construction works. Preparation of General Specification for tender documents of hydropower projects. Quality control of report writing. Over 39 years of experience in Department of Roads, procurement and contract management of construction equipment and vehicles based on World Bank as well as Government procedure, fleet management, spare parts management and workshop management.



Dr. Hari Shankar Shrestha
Senior Consultant, Hydropower

Education: PhD in Sedimentation and sediment handling in Himalayan reservoirs, 2008-2012, Norwegian University of Science and Technology (NTNU), Trondheim, Norway; MSc in Hydropower Development, 1999-2001, Norwegian University of Science and Technology (NTNU), Trondheim, Norway; MSc in Civil Engineering with honours (Specialization in Hydraulics), 1986-1992, Russian Peoples Friendship University, Moscow.

Experience: Dr. Shrestha holds over 23 years of professional experience in hydropower planning, feasibility studies, detail designs, hydraulic designs and structural analysis of more than 35 hydropower projects ranging from 1 MW to 280 MW. In his career, he has been involved in project design, management, financial and economic analysis of hydropower projects. He has also been involved in detail design, hydraulic design, design and physical hydraulic modeling of headworks, intensive research on sediment measurement and cost effective sediment handling of various hydropower projects as a team leader.

Key Staff Brief resume



Subas Chandra Sunuwar

Senior Consultant, Engineering
Geology and Underground Works

Education: MSc in Engineering Geology from the University of Leeds, United Kingdom in 2000.; MSc in Geology from the Tribhuvan University, Nepal, 1992.

Experience: Over 22 years of experience in geology and geotechnical field in hydropower sector from project identification, site investigations, feasibility study, detailed design and construction supervision. He has carried out several feasibility studies and detailed design of hydropower projects ranging from 1 MW to 800 MW in Nepal and India. He has gained good knowledge on Site selection, site investigation, construction of geological model, identification of georisks and design of major hydropower underground structures; Site investigation planning, data acquisition and interpretation for ground conditions; Site and layout selections of major hydropower structures; Geological mapping, identification of faults/shear zones and construction of geological model; Identification and mitigation of georisks; Evaluation of rock mass and rock support design of underground structures; Prediction and rock support design in rock squeezing and rock burst; Construction, supervision, quality control and monitoring of tunnelling works; Preparation of specification and guidelines for underground structures; Due diligence studies of hydropower projects; Road risk assessment and mitigation measures; Landslide study and mitigation measures

Mr. Sunuwar is Secretary General and founder member of Nepal Tunnelling Association and successfully organized 3 International Standard Training and Tunnelling Conference 2014. Life members of Nepal Geological Society, Nepal Engineering Association and Nepal Hydropower Association.



Hari Budhathoki
Legal Advisor

Education: LLM, TU, Nepal

Experience: Mr Budhathoki has over 13 years of experience as practicing and consulting lawyer in hydropower, infrastructure, investment, environment, employment, corporate and institutional building, securities, contract, and procurement laws. He is also associated with Butwal Power Company Limited, the holding company of HCE, and its subsidiaries.

Financial Performance OF FY 2071/72

Highlights from Income Statement

- HCE earned total revenue of NPR 93.27 million in FY 2071/72 (2014/15). The revenue from consultancy business was NPR 91.63 million whereas combined interest and other income was NPR 1.64 million.
- The Gross profit was NPR 33.43 million that was 35.84% of the total revenue.
- The net profit before tax was NPR 18.08 million that was 19.39% of the revenue earned in FY 2071/72 (2014/15).
- The Earning per share (EPS) was NPR 117.08 which increased by 26.51% than previous FY.
- NPR 3.96 million has been provisioned for income tax for the FY 2071/72 (2014/15).

Highlights from Financial Statement

- The net worth of HCE has increased by 24.88% to NPR 57.39 million in FY 2071/72 (2014/15) from NPR 45.96 million of FY 2070/71 (2013/14).
- The total assets has increased by 11.62% and reached NPR 77.81 million in FY 2071/72.
- The Book Value per Share (BVPS) has increased to NPR 487.26 in FY 2071/72 (2014/15) from NPR 390.17 of FY 2070/71.
- The retained earnings increased by 33% to NPR 45.60 million in FY 2071/72 (2014/15) from 34.18 million of FY 2070/71 (2013/14).

VALUE ADDITION TO THE NATION

HCE CONTRIBUTED THE FOLLOWING AMOUNTS TO GOVERNMENT REVENUE

Value Addition	FY 2071/72	FY 2070/71	FY 2069/70	FY 2068/69
Corporate Tax	3,957,101	3,740,243	2,933,346	2,338,133
Employee Tax	5,334,562	5,491,380	2,796,021	1,413,161
TDS	2,207,846	1,242,840	956,578	1,030,192
Value Added Tax (VAT)	5,944,660	6,080,649	3,501,274	6,751,748
Total	17,444,169	16,555,112	10,177,219	11,533,234

Project Overview of FY 2071/72

INTERNATIONAL PROJECTS

TUREN-MORE KARI HYDROPOWER PROJECT (350 MW)

HCE in consortium with AGES Consultants (Peshawar, Pakistan), Infra-D Consultants (Islamabad, Pakistan), Sheladia Associates Inc. (USA) and Norconsult (Norway) completed the feasibility study of Jamshill Turen-More hydropower Project located in Khyber Pakhtunkhwa province of Pakistan.

HCE as an international partner provided services for finalization of project layout, hydraulic design, review of hydrology, geotechnical design of tunnel, water hammer analysis, optimization studies, and review of the reports.



Type:	Run-of-River (Cascade to Jamshill Turen-More HPP)
Client:	Pakhtunkhwa Energy Development Organization (PEDO)
Location:	District Chitral, Khyber Pakhtunkhwa, Pakistan
Gross head:	145m
Design discharge	305.0m ³ /s
Annual estimated energy	1575 GWh
Headrace tunnel	Modified horse shoe shape, 14.1 km, 9.7m diameter
Powerhouse	Surface, 4 units of Francis turbines

JAMSHILL TUREN-MORE HYDROPOWER PROJECT (260 MW)

HCE in consortium with AGES Consultants (Peshawar, Pakistan), Infra-D Consultants (Islamabad, Pakistan), Sheladia Associates Inc. (USA) and Norconsult (Norway) completed the feasibility study of Jamshill Turen-More hydropower Project located in Khyber Pakhtunkhwa province of Pakistan.

HCE as an international partner provided services for finalization of project layout, hydraulic design, review of hydrology, geotechnical design of tunnel, water hammer analysis, optimization studies, and review of the reports.



Type:	Run-of-River
Client:	Pakhtunkhwa Energy Development Organization (PEDO)
Location:	District Chitral, Khyber Pakhtunkhwa, Pakistan
Capacity:	120m
Design discharge	305.0m ³ /s
Annual estimated energy	1158 GWh
Dam	45m high concrete gravity dam
Settling basin:	4 basins, surface, 60 m (total length)
Headrace tunnel	Modified horse shoe shape, 13.2 km, 9.7m diameter
Powerhouse	Surface, 4 units of Francis turbines

GURA HYDROPOWER PROJECT (5.0 MW)

HCE is entrusted with the job of overall management as well as review and approval of detail design and construction drawings of civil, Hydro-mechanical, Electrical, Electro-Mechanical components and construction supervision for quality control.

HCE has provided technical assistance to the Employer to prepare the tender documents and procurement process for Civil and Electromechanical works. Since the start of the project, HCE has been providing its services for design review and approval, construction quality supervision, contractors' claim review & recommendation to client etc.

At the moment, the construction of Weir, Undersluice, Intake, Desander tank and Aqueducts have been completed. Powerhouse, Box Culverts and 7 km long headrace canal are expected to be completed in March 2016. The Electro-mechanical equipments have been delivered to the site.



Type:	Run-of-River
Client:	Kenya Tea Development Agency KTDA / KTPC Kenya Tea Power Company
Location:	Nyeri County, Kenya
Capacity:	5.0 MW
Gross head:	154.5 m
Annual estimated energy:	24.83 GWh
Diversion weir:	32 m (length) 2.5 m (height)
Settling basin:	Surface, 2 bays 63 m (length) 7.0 m (width)
Headrace Canal:	7056 m length 2.5 m Width 1.4 m Height
Penstock pipe:	376 m (length) 1.4 m (dia)
Powerhouse:	Surface, 2 units of Francis turbine
Transmission Line:	33 kV

NATIONAL PROJECTS

MISTRI KHOLA HYDROELECTRIC PROJECT (42 MW)

HCE has been awarded the construction supervision and project management contract of the project. This project is planned to start commissioning by the end of 2018.

In the last fiscal year, HCE in consortium with NORPLAN of Norway carried out the detail design of civil structures and preparation of construction drawings.

Initially, HCE carried out the optimization of project layout and principal design of all the components of the project.

HCE has also carried out the task of updating the technical specifications for electromechanical works and evaluation of technical proposal for electromechanical works submitted by various bidders.



Type:	Run-of-River
Client:	Robust Energy Limited
Location:	Myagdi District
Capacity:	42 MW
Gross head:	302.8 m
Annual estimated energy:	226.82 GWh,
Dam:	29.5 m (length) 22 m (height)
Settling basin:	Underground, 2 nos., 85 m (length) 8.0 m (width)
Headrace tunnel:	2285 m length, 4.0 m dia.
Penstock pipe:	1415 m (length), 2 m (dia)
Powerhouse:	Surface 3 units of pelton turbine

SANKHUWA KHOLA-I HYDROPOWER PROJECT (38 MW APPROX.)

JV of ERM and HCE won the bid to conduct feasibility study of SankhuwaKhola-I Hydropower Project for the Department of Electricity Development.

HCE has completed the Inception phase and topographical surveying works of the project. Currently, hydrological analyses, project layout studies and project capacity optimization studies are going on.



Type :	Run-of-River
Client :	Department of Electricity Development, GoN
Location :	Sankhuwasabha District
Gross head :	530m approx
Design discharge :	8.72m ³ /s as per TOR
Headrace tunnel :	4850m length approx.
Powerhouse :	Surface (Right bank of SankhuwaKhola)

KHANI KHOLA (DOLAKHA) HYDROPOWER PROJECT (30 MW)

An agreement was signed for the detailed engineering design and tender document preparation for KhaniKhola (Dolakha) Hydropower Project with Sasha Engineering Hydropower Private Limited.

HCE has concluded the project layout studies, project component optimization studies, geological studies, hydraulic and geotechnical designs. Similarly, HCE has also completed preparation of the tender documents for the surface civil works, underground civil works, hydro-mechanical works and electro-mechanical works. Currently, the structural design of the civil works and preparation of the construction drawings and reinforcement drawings are in their final stages.



Type :	Run-of-River
Client :	Sasha Engineering Hydropower Private Limited
Location :	Dolakha District
Gross head :	622.4m
Design discharge :	6.0m ³ /s
Annual estimated energy :	172.1 GWh
Diversion weir :	Boulder rip-rap weir with concrete central cutoff, 12.6m crest length
Settling basin :	3 basins, surface, 60 m (total length)
Headrace tunnel :	Inverted D shape, 2672m, 3.0m (W) x 3.25m (H)
Vertical shaft :	218m height, 2.5m diameter
Penstock :	1570m length, 1.2m diameter
Powerhouse :	Surface, 2 units of Pelton turbines

NYADI HYDROPOWER PROJECT (30 MW)

HCE is entrusted with the job of preparation of tender document and detail engineering design of Nyadi Hydropower Project.

HCE carried out the detailed engineering design and review of project cost in May 2015.

HCE is now preparing the Tender Document of Civil and Hydro-mechanical works for Nyadi Hydropower Project in EPC Model.



Type:	Run-of-River
Client:	Nyadi Hydropower Limited
Location:	Lamjung District
Capacity:	30 MW
Gross head:	335.5 m
Diversion weir:	14 m (length)
Headrace tunnel:	3983m length 2.9m dia.
Penstock pipe:	745 m (length)
Powerhouse:	Surface 2 units of Pelton turbine

SANKHUWA KHOLA HYDROPOWER PROJECT (30 MW APPROX.)

JV of ERM and HCE won the bid to conduct the feasibility study of SankhuwaKhola Hydropower Project for the Department of Electricity Development.

HCE has completed the Inception phase and topographical surveying works of the project. Currently, hydrological analyses, project layout studies and project capacity optimization studies are going on.



Type:	Run-of-River
Client:	Department of Electricity Development, GoN
Location:	Sankhuwasabha and Bhojpur District
Gross head:	290m approx
Design discharge:	13.5m ³ /s as mentioned in the ToR
Headrace tunnel:	5210m length approx.
Powerhouse:	Surface (Right bank of Arun River)

MIDDLE MODI HYDROPOWER PROJECT (15.1 MW)

HCE is entrusted with the job of reviewing the updated feasibility study, preparation of Design Basis Memorandum (DBM) and tender document and detail engineering works of the project.

The review of updated feasibility study and Design Base Memorandum was completed in February 2014. Final Tender Documents was completed in November 2014.



Type:	Run-of-River
Client:	Middle Modi Hydropower Limited
Location:	Parbat and Kaski District
Capacity:	15.1 MW
Gross head:	75.34 m
Annual estimated energy:	81.942GWh
Diversion Weir:	33 m (length), 3.22 m (height)
Settling basin:	2 nos. 72 m (length), 12 m (width)
Headrace tunnel:	2840 m length 3.6~4.4 m dia.
Penstock pipe:	145.2 m(outlet portal-surge shaft) +135.3 m(surge shaft bifurcation) 3.20 m (dia)
Powerhouse:	Semi Surface 2 units of Francis turbine

THAPA KHOLA HYDROELECTRIC PROJECT (13.6 MW)

HCE is entrusted with the job of construction supervision, preparation of detailed project report, tender document, detail design of civil structures and preparation of construction drawings.

After the completion of detailed design, HCE signed the contract for the construction supervision of the project in March 2014. Since then HCE is supervising and monitoring the construction works of the civil components of the project. HCE is also updating the construction level design of civil components as required during construction. In this fiscal year, 49% of the construction works of the project has been completed.



Type:	Run-of-River
Client:	Mount Kailash Energy Company private Limited
Location:	Mustang District
Capacity:	13.6 MW
Gross head:	388.9 m
Annual estimated energy:	69.7GWh
Diversion Weir:	25 m (length) 2.5 m (height)
Settling basin:	Surface, 2 nos. 55 m (length), 6.0 m (width)
Headrace Pipe	405 m length, 1.35 m dia.
Headrace tunnel:	1820 m length, 2.0 m dia.
Penstock pipe:	760 m (length), 1.25 m (dia)
Powerhouse:	Surface, 2 units of Pelton Turbine

UPPER MAI HYDROELECTRIC PROJECT (9.98 MW)

HCE is entrusted with the job of construction management and supervision and detailed design of the powerhouse and switchyard of the project.

HCE signed the contract in January 2014. Since then HCE is supervising and monitoring the construction works of all the components of the project.

HCE is also updating the construction level design of civil components as required during construction. The major works of civil, hydro-mechanical and electromechanical components of the project have been completed.



Type:	Run-of-River
Client:	Mai Valley Hydropower Private Limited
Location:	Ilam District
Capacity:	9.98 MW
Gross head:	385.80 m
Annual estimated energy:	57.78GWh
Diversion Weir:	12 m (length), 5.65 m (height)
Settling basin:	Surface, 2 nos. 30 m (length), 6.4 m (width)
Headrace Pipe	637.0 m length, 1.5 m dia.
Headrace tunnel:	2070.5 m length 2.5× 2.0 m
Penstock pipe:	1570 m (length), 1.20 m (dia)
Powerhouse:	Surface, 2 units of Pelton Turbine

ANDHI KHOLA HYDROELECTRIC PROJECT (UPGRADING) (9.4 MW)

Butwal Power Company upgraded the existing 5.1MW AndhiKhola Hydroelectric Project to a new installed capacity of 9.4MW. HCE completed its services for design and drawing preparation and support to the Client during the construction of the project.

HCE has concluded the hydraulic design, stability analyses of the project components, structural design of the civil components in preparation of the construction drawings and reinforcement drawings. Similarly, HCE also supported in the preparation of the designs and drawings for the site based changes in the layout of the project components. Also, the geotechnical design for the extension of the powerhouse cavern was performed by HCE. The hydraulic and rock support designs for the enlargement of the tailrace tunnel including the various supports during construction were provided.

Finally, HCE submitted the Project Completion Report compiling individual reports from all the contractors including the As-built drawings of the project.



Type :	Run-of-River
Client :	Butwal Power Company Limited
Location :	Syangja District
Gross head :	246m
Design discharge :	4.9m ³ /s
Annual estimated energy :	70.7GWh
Diversion weir :	Concrete gravity Ogee weir with Obermeyer gate on top
Settling basin :	2 basins, surface, 76 m (total length)
Headrace tunnel :	Inverted D shape, 1284m, 4.25m ²
Vertical shaft :	244m height, 45m diameter
Penstock :	2 nos., 244m length, 1.0m - 0.9m diameter
Powerhouse :	Underground, 3 units of Pelton turbines
Tailrace tunnel :	1065m

CHINO KHOLA SMALL HYDROPOWER PROJECT (8.5 MW)

HCE is entrusted with the job of feasibility study, Tender Document Preparation, Detailed Engineering and Environmental Impact Assessment of Chino Khola Small Hydropower Project.

HCE has completed inception phase study and now working for the feasibility study.



Type:	Run-of-River
Client:	Butwal Power Company
Location:	Manang District
Capacity:	8.5 MW
Gross head:	927.25 m
Annual estimated energy:	47.67GWh,
Weir Length:	12 m
Settling basin:	Surface, 2 nos. 30 m (length) 4 m (width)
Headrace tunnel:	368 m length 2.0m dia.
Penstock pipe:	2150 m (length) 0.65 m (dia)
Powerhouse:	Surface 2 units of pelton turbine

NYAM NYAM KHOLA SMALL HYDROPOWER PROJECT (6.0 MW)

HCE is entrusted with the job of preparing the updated feasibility study, tender document preparation, and detail engineering design of the project.

The updated feasibility study was completed in May 2014. Draft Tender Document preparation and draft detail engineering design works have been completed.



Type:	Run-of-River
Client:	NyamNyam Hydropower Company (P) Limited
Location:	Rasuwa District
Capacity:	6.0 MW
Gross head:	386.0 m
Annual estimated energy:	33.17GWh
Diversion Weir:	13.50 m (Length) 3.0 m (Height)
Settling basin:	Single, Surface ,2 bays 13.82 m Inlet Transition 30 m Uniform Length 4 m (Width)
Headrace tunnel:	2093 m Length Inverted – D, 2.0m dia.
Penstock pipe:	563 m (Length) 1.0 m (dia)
Powerhouse:	Surface 2 units of Pelton turbine

MIDIM KHOLA (KARAPU) HYDROPOWER PROJECT (3 MW)

Hydro- Consult Engineering Ltd signed the agreement for Detail Engineering Design of Midim Khola (Karapu) Hydropower Project (3 MW) in August 2014.

The scope includes review of feasibility study and detail design of weir, intake, settling basin, waterway and powerhouse. A semi-permanent type boulder weir with concrete infill and side intake has been finalized and the detail design has been carried out.

Surface powerhouse housing two units of horizontal axis Francis turbine has been designed.



Project Type:	Run-of-River
Client:	Union Hydropower Pvt. Ltd.
Location:	Lamjung District
Capacity:	3 MW
Gross head:	52.00 m
Annual estimated energy:	16.784GWh
Weir:	22 m (crest length) 5.5 m (height)
Intake	Side intake, two gates of size 3.5(w) x 2.0 m (h)
Headrace pipe :	2 m dia 217 m long
Headrace Tunnel:	D shaped 2.8 m dia 1120 m long
Powerhouse:	Surface

NWA GAD SMALL HYDROELECTRIC PROJECT (1 MW)

HCE signed the agreement for detailed engineering design and tender document preparation of Nwa Gad Small Hydroelectric Project.

HCE has concluded the project layout studies, project component optimization studies, geological studies and hydraulic design. Similarly, HCE has also completed preparation of the tender documents for the surface civil works, underground civil works, hydro-mechanical works and electro-mechanical works. Currently, the structural design of the civil works and preparation of the construction drawings and reinforcement drawings are going on.



Type :	Run-of-River
Client :	JalUrja Private Limited
Location :	Darchula District
Gross head :	76m
Design discharge :	1.98m ³ /s
Annual estimated energy :	6 GWh
Diversion weir :	Concrete gravity weir, 8.4m crest length
Settling basin :	2 basins, surface, 34 m (total length)
Penstock :	704m length, 1.0m diameter
Powerhouse :	Surface, 2 units of Francis turbines

KHIMTI 1 HYDROPOWER PLANT (60 MW)

HCE completed the construction supervision of repair works of the head works area of khimti-I Hydropower plant. Previously, HCE completed the hydraulic modeling works, detail design works and contract document preparation works.

The repair works were mainly focused in the boulder riprap weir area.

HCE was entrusted with daily supervision works, quality control works, contract management and preparation of completion report.



Type:	Run-of-River
Client:	Himal Power Limited
Location:	Dolakha District
Capacity:	60 MW
Gross head:	592 m
Diversion weir:	45 m (length)
Headrace tunnel:	7900 m length 2.0 m dia.
Penstock pipe:	1000 m (length)
Powerhouse:	Surface 5 units of Pelton turbine

SUPER DORDI HYDROPOWER PROJECT -KHA (49.6 MW)

HCE is entrusted with the job of Due-Diligence Appraisal of Super Dordi Hydropower project-Kha and signed the contract in December 2014.

HCE reviewed the Updated Feasibility Study Report including all documents and submitted the Due-Diligence Appraisal Report of the project upon the request of Nabil Bank to decide for their financial engagement in the project.



Type:	Run-of-River
Client:	Nabil Bank Limited
Location:	Lamjung District
Capacity:	49.6 MW
Gross head:	601.4m
Annual estimated energy:	289.46 GWh
Diversion Weir:	17.0 m (length), 7.0 m (height)
Settling basin:	Underground, 2 nos. 82.0 m (length) 10.0 m (width)
Headrace tunnel:	4864.0m length 2.6× 2.6m
Inclined shaft:	1185.0 m (length), 2.0 m (dia)
Powerhouse:	Surface, 3 units of Pelton Turbine

LOWER HEWA KHOLA HYDROPOWER PROJECT (21.6 MW)

HCE was assigned to carry out the Due Diligence Appraisal of Lower HewaKhola Hydropower Project being developed by Mountain Hydro Private Limited.

HCE reviewed the feasibility study report and IEE reports made available by the Client. On the basis of those reports and site visit by the team of experts, conclusions were drawn on project components, layouts, adopted design parameters, social & environment issues, and geological investigations.

Installed capacity and the energy estimation of project were also reviewed. The project cost was updated in the context of the present scenario and technical and financial viability of the project was evaluated.



Type:	Run-of-River
Client:	Prime Commercial Bank Limited
Location:	Panchthar District
Capacity:	21.6 MW
Gross head:	175.50 m
Annual estimated energy:	116.26GWh
Diversion weir:	Two Gravity weir in Hewa and PHEME rivers
Headrace tunnel:	5285m length 4m dia.
Penstock pipe:	608 m (length) 3-1.75m (dia)
Powerhouse:	Surface 2 units of Francis turbines

BAGMATI SMALL HYDROPOWER PROJECT (20 MW)

HCE was assigned to carry out the Due Diligence Appraisal of Bagmati Small Hydropower Project being developed by Mandu Hydropower Limited.

HCE reviewed the feasibility study report and environment reports made available by the Client. On the basis of those reports and site visit by the team of professional, conclusion were drawn on project layout, project component sizing, adopted design parameters, social and environmental issues, and geological investigations. The study concluded the technical and financial viability of the project on the basis of estimated energy generation and project cost.



Type :	Run-of-River
Client :	Mandu Hydropower Limited
Location :	Makwanpur District
Gross head :	199.3m
Design discharge :	12.4m³/s
Annual estimated energy :	117GWh
Diversion weir :	Concrete gravity weir
Settling basin :	2 basins, surface, 60 m (total length)
Headrace tunnel :	2350m
Penstock :	608m length, 1.8m diameter
Powerhouse :	Surface, 2 units of Francis turbines

UPALLO K HIMTI HYDROPOWER PROJECT (12 MW)

HCE was assigned to carry out the Due Diligence Appraisal of Upallo Khimti Hydropower Project being developed by Himalaya Urja Bikas Company Private Limited.

HCE reviewed the feasibility study report and environment reports made available by the Client. On the basis of those reports and site visit by the team of professional, conclusion were drawn on project layout, project component sizing, adopted design parameters, social and environmental issues, and geological investigations. The study concluded the technical and financial viability of the project on the basis of estimated energy generation and project cost.



Type :	Run-of-River
Client :	Himalaya UrjaBikas Company Private Limited
Location :	Ramechhap District
Gross head :	300m
Design discharge :	5.16m ³ /s
Annual estimated energy :	73.6 GWh
Diversion weir :	Concrete gravity weir
Settling basin :	2 basins, surface, 55 m (total length)
Headrace pipe :	3675m, 1.7-1.5 m diameter
Penstock :	839m length, 1.5-1.44 m diameter
Powerhouse :	Surface, 2 units of Pelton turbines

UPPER K HIMTI II HYDROPOWER PROJECT (7 MW)

HCE was assigned to carry out the Due Diligence Appraisal of Upper Khimti II Hydropower Project being developed by Himalaya UrjaBikas Company Private Limited.

HCE reviewed the feasibility study report and environment reports made available by the Client. On the basis of those reports and site visit by the team of professional, conclusion were drawn on project layout, project component sizing, adopted design parameters, social and environmental issues, and geological investigations. The study concluded the technical and financial viability of the project on the basis of estimated energy generation and project cost.



Type :	Run-of-River
Client :	Himalaya UrjaBikas Company Private Limited
Location :	Ramechhap District
Gross head :	145m
Design discharge :	6.45m ³ /s
Annual estimated energy :	42.3 GWh
Diversion weir :	Concrete gravity weir
Settling basin :	2 basins, surface, 40 m (total length)
Headrace pipe :	3143m, 1.8-1.7 m diameter
Penstock :	326m length, 1.65-1.17 m diameter
Powerhouse :	Surface, 2 units of Francis turbines

GHALEMDI HYDRO POWER PROJECT (4 MW)

HCE was assigned to carry out the Due Diligence Appraisal of Ghalemdi Hydropower Project (4 MW) being developed by Ghalemdi Hydro Limited.

HCE carried out an independent review of the project, based on the site visit and analysis of provided reports & data.

Financial viability of the project was analyzed and recommendations were made for the modifications and further works to be carried out.



Type:	Run-of-River
Client:	NMB Bank Limited
Location:	Myagdi District
Capacity:	4.0 MW
Gross head:	152.70 m
Annual estimated energy:	25.10 GWh
Diversion weir:	Concrete Free Flow 18.0 m (length)
Settling basin:	Surface
Headrace Tunnel:	1550 m
Penstock pipe:	210 m
Powerhouse:	Surface 2 units of Francis turbines

MAI HYDROPOWER PROJECT IPC VERIFICATION (22 MW)

HCE is working as the technical consultant for the consortium of banks led by Laxmi Bank Limited for Mai Khola Hydropower Project which is being developed by Sanima Mai Hydropower Private Limited.

HCE's scope of works for this project is to verify the Interim Payment certificates (IPC's) issued by the engineer and to monitor the progress of works on behalf of the bank.

The scope of works includes verification of IPC's for the entire contract packages; civil, hydromechanical, electromechanical and transmission line works.



Type:	Run-of-River
Client:	Laxmi Bank Limited
Location:	Ilam District
Capacity:	22 MW
Gross head:	122 m
Annual estimated energy:	128.30GWh,
Dam:	86 m (length) 11 m (height)
Settling basin:	Surface, 2 nos. 75 m (length) 19.5 m (width)
Headrace tunnel:	2192m length 4.3m dia.
Penstock pipe:	317 m (length) 2.6 m (dia)
Powerhouse:	Surface 3 units of francis turbine

UPPER HEWAK HOLA-A HYDROPOWER PROJECT IPC VERIFICATION (14.9 MW)

HCE is working as the technical consultant for the consortium of banks led by Sanima Bank Limited for HewaKhoka-A Khola Hydropower Project. The developer of this project is Panchthar Power Company Private Limited.

HCE's scope of works for this project is to verify the Interim Payment certificates (IPC's) issued by the engineer and to monitor the progress of works on behalf of the bank.

The scope of works includes verification of IPC's for the entire contract packages; civil, hydromechanical, electromechanical and transmission line works.



Type:	Run-of-River
Client:	Sanima Bank Limited
Location:	Panchthar District
Capacity:	14.9 MW
Gross head:	212.9 m
Annual estimated energy:	212.6GWh,
Dam:	31.5 m (length)
Settling basin:	Surface, 3 nos. 65 m (length) 6.5 m (width)
Headrace tunnel:	3975m length 3.5m dia.
Penstock pipe:	270 m (length)
Powerhouse:	Surface 2 units of francis turbine

BILL VERIFICATION OF MAI CASCADE HYDROPOWER PROJECT (7 MW)

HCE is working as the technical consultant for the consortium of banks led by Laxmi Bank Limited for Mai Cascade Hydropower Project (7 MW). The developer of this project is Sanima Mai Hydropower Limited.

HCE's scope of works for this project is to verify the Interim Payment certificates (IPC's) issued by the engineer and to monitor the progress of works on behalf of the bank.

The scope of works includes verification of IPC's for the entire contract packages; civil, hydromechanical, electromechanical and transmission line works.



Project Type:	Cascade
Client:	Sanima Mai Hydropower Ltd.
Location:	Ilam District
Capacity:	7.0 MW
Gross head:	42.65 m
Waterway:	3725.0 Km canal
Powerhouse:	Surface

PROJECTS COMPLETED BY HYDRO-CONSULT ENGINEERING LIMITED

SN	Name of Projects and Short Description	Client	Place of Work
INTERNATIONAL PROJECTS			
1	Jamshill Turen More Hydropower Project (260 MW): Review of previous studies, geological study, review of geo-technical investigations and geo-physical investigation, review hydrological assessment, sedimentation study, power demand and forecast, layout planning, power and energy potential study, hydraulic and structural design, electro-mechanical design, preparation of BOQ, drawings and cost estimate, economic and financial analysis, construction planning & scheduling, preparation of Feasibility Study report.	Pakhtunkhwa Electricity Development Organization	Chitral District, Khyber Pakhtunkhwa, Pakistan
2	Turen More – Kari Hydropower Project (350 MW): Review of previous studies, geological study, geo-technical and geo-physical investigation, review of hydrological assessment, sedimentation study, power demand and forecast, layout planning, power and energy potential study, hydraulic and structural design, electro-mechanical design, preparation of BOQ, drawings and cost estimate, economic and financial analysis, construction planning and scheduling, preparation of Feasibility Study report.	Pakhtunkhwa Energy Development Organization	Chitral District, Khyber Pakhtunkhwa, Pakistan
3	Uileann Hydro, Wyvis Hydro and Corroul Hydro schemes: Supported in the structural design and detailing of various structural components such as intake, thrust blocks and switch room concrete slab.	Hydroplan	United Kingdom
NATIONAL PROJECTS			
1	Mistri Khola Hydroelectric Project (42 MW): HCE in consortium with Norplan of Norway carried out detail design of civil structures and preparation of construction drawings. HCE carried out the optimization of final layout and principal design of other project components, updated the technical specifications for electromechanical works and evaluation of technical proposal for electromechanical works.	Robust Energy Private Limited	Myagdi district, Eastern Development Region
2	Middle Modi Hydropower Project (15.1 MW): Reviewing the updated Feasibility Study, preparation of Design Basis Memorandum (DBM) and tender document and detail engineering works.	Middle Modi Hydropower Limited	Parbat and Kaski Districts, Western Region
3	Khani Khola (Dolakha) Hydropower Project (30 MW): Project layout selection; hydraulic design, structural design and construction drawings preparations; tender documents preparation of civil surface works, tunneling works, hydro-mechanical works and electro-mechanical works.	Sasha Engineering Hydropower Private Limited	Dolakha District, Eastern Region
4	Andhi Khola Hydropower Project (Upgrading) (9.4 MW): Hydraulic and structural design of all the headworks components, surge tank, powerhouse (civil works) and geotechnical design of tailrace; preparation of as-built drawings. Previously, HCE carried out the IEE study for the upgraded project.	Butwal Power Company Limited	Syangja District, Western Region
5	Khimti 1 Hydropower Project (60 MW): Preparation of Detailed Project Report (DPR) for the repair works of headworks area, tender document, detail design of civil structures, construction drawings, and contract management and construction supervision.	Himal Power Limited	Dolakha District, Eastern Region
6	Jogmai Khola Small Hydroelectric Project (7.6 MW): Due diligence appraisal of the project.	NMB Bank Limited	Ilam District, Eastern Region
7	Dordi Khola Hydropower Project (27 MW): Due diligence appraisal of the project.	Prime Bank Limited	Lamjung District, Western Region

SN	Name of Projects and Short Description	Client	Place of Work
8	Naugarh Gad Small Hydroelectric Project (8.5 MW): Due diligence appraisal of the project.	Nepal Bank Limited	Darchula District, Far Western Region
9	Kabeli-A Hydroelectric Project (36.7 MW): Updated feasibility study and detail design; project component optimization; tender document revision and tender evaluation for Civil, Hydro-mechanical and Electro-mechanical works; Social Assessment and Social Action Plan and IEE studies; Coordination of EIA and Cumulative Impact Assessment studies to augment project financing from the WB and IFC	Kabeli Energy Limited	Panchthar and Taplejung districts, Eastern Nepal
10	Nyadi Hydropower Project (30 MW): Updated feasibility study, detail design, updated EIA study and Supplementary IEE study, preparation of tender documents.	Nyadi Hydropower Limited	Lamjung district, Western Nepal
11	Lower Manang Marsyangdi Hydroelectric Project (140 MW): Feasibility, detail design, preparation of tender documents and EIA study.	Butwal Power Company Limited	Manang district; Western Nepal
12	Bheri Babai Diversion Multipurpose Project, Component B: Hydropower (48 MW): Feasibility study review, detail design and tender document preparation	Department of Irrigation	Surkhet district, Mid-western Nepal
13	Tadi Khola Hydropower Project (5 MW): Detailed engineering design, tender document preparation and construction supervision works of the project.	Aadishakti Bidhut Bikas Company Pvt Ltd	Nuwakot district, Central Nepal
14	Marsyangdi III Hydroelectric Project (42 MW) : Feasibility and IEE Study	Keton Hydropower Company Pvt Ltd	Lamjung and Tanahun districts, Western Nepal
15	Adhikhola Upgrading Project (9.4 MW): Feasibility, detail design and IEE study	Butwal Power Company Limited	Syangjha district; Western Nepal
16	Feasibility Study on Agro-Enterprises and Forest-Based Entrepreneurship Options at Jhimruk and Andhi Khola Hydropower Project Sites: Feasibility study of agro-enterprises and forest-based entrepreneurship activities at Jhimruk and Adhikhola hydropower project sites.	Butwal Power Company Limited	Syangjha and Pyuthan districts, Western and Mid-Western Nepal
17	Study of large mammals in Hetauda-Dhalkebar-Duhabi 400 kV Transmission Line Project: Specific study on large mammals (Leopard, Royal Bengal Tiger, Elephant and Wild Cats) in the project area to fulfill the requirement of World Bank for Project funding.	Nepal Electricity Authority	10 Terai districts of Central and Eastern Nepal
18	Study of Birds in Hetauda-Dhalkebar-Duhabi 400 kV Transmission Line Project: Specific study on Birds in the project area to fulfill the requirement of World Bank for Project funding.	Nepal Electricity Authority	10 Terai districts of Central and Eastern Nepal
19	Study on Regional Hydro Power Projects in Nepal: Study and identified potential projects ranging from 300 MW to 10,000 MW for future regional hydropower plants developments. The study has suggested possible options for grid connectivity of the proposed regional power plants with the neighbouring countries considering SAARC Electricity Grid	SAARC Energy Centre	Nepal
20	Jhimruk Impact Study: Post operation study of environmental and social impacts in Jhimruk project area.	Butwal Power Company Limited	Pyuthan district; Mid-western Nepal
21	Bhim Khola Small Hydropower Project (9 MW): Feasibility and IEE study	Butwal Power Company Limited	Baglung district; Western Nepal

SN	Name of Projects and Short Description	Client	Place of Work
22	Nyasim Khola Hydropower Project: Due diligence study that includes field survey, geological, hydrological and socio-environmental study, conceptual design and drawings, costing, capacity optimization and financial analysis.	Butwal Power Company Limited	Sindhupalchok, Central Nepal
23	Sikta Irrigation Project: Review of detailed engineering design of the project, contract management, construction supervision and quality control and assurance of main canal from Ch 0+614km to Ch 15+000 km through one ICB and 3 NCB contracts.	Department of Irrigation	Mid-western Nepal
24	Khudi Hydropower Project (4 MW): Review of feasibility study, detail design, construction supervision, preparation and implementation of environmental management programme and testing and commissioning of the Project.	Khudi Hydropower Limited	Lamjung district; Western Nepal
25	Rural Electrification and Expansion Project (REEP): Sustainable Rural Electrification, Environmental Impact Examination (EIE) Study and Environmental Performance Study Report	Butwal Power Company Limited	4 districts of Mid-Western and Western Nepal
26	Solu Khola (Dudh Koshi) Hydroelectric Project (86 MW): Due Diligence Study that includes field survey, geological, hydrological and socio-environmental study, conceptual design and drawings, costing, capacity optimization and financial analysis.	Butwal Power Company Limited	Solukhumbu district, Eastern Nepal
27	Baramchi Khola Hydroelectric Project (1 MW and targeted for 3 MW): Due Diligence Study that includes field survey, geological, hydrological and socio-environmental study, conceptual design and drawings, costing, capacity optimization and financial analysis.	Butwal Power Company Limited	Sindhupalchok district, Central Nepal
28	Tamakoshi 3 Hydroelectric Project (880 MW): Environmental study and bridging Study	SWECO Norway	Dolakha district, Central Nepal
29	Madi Khola, Inku Khola and Budhi Ganga Khola Small Hydropower Projects (12.25 MW, 20 MW and 6.2 MW respectively) : Feasibility study and EIA study	Department of Electricity Development	Eastern Nepal Western Nepal
30	Balephi Hydropower Project (50 MW) : Pre-feasibility study	Balephi Hydropower Company Limited	Sindhupalchok district, Central Nepal
31	Upper Mai Hydroelectric Project (9.98 MW) Eastern Nepal: Review of feasibility study, detail design (expected head – works) and tender document preparation	East Nepal Development Endeavour Pvt Ltd/ Mai Valley Hydropower Projects	Ilam district, Eastern Nepal
32	Lower Hongu Khola Small Hydropower Project (23.5 MW): Feasibility and EIA study	Department of Electricity Development	Solukhumbu district, Eastern Nepal
33	Rural Electrification Global Development Alliance of Nepal (REGDAN): Sustainable rural electrification and IEE Study	USAID, Kathmandu	Western Nepal
34	Khare Khola Hydropower Project (14.7 MW): Feasibility study and IEE study for Generation, Access roads and Transmission Line components of the project.	Department of Electricity Development /IRD	Dolakha district, Central Nepal
35	Field Workers Training on Electricity Distribution System Operation and maintenance : Development and delivered the training program to Rural Entities (REE) to provide technical skills to field workers of selected REEs	Winrock International	Central Nepal
36	Khimti I Hydropower Project (60 MW): Socio-economic impact study on fishermen (Information report of the socio- economic impact study on fisherman)	Himal Power Limited	Dolakha and Ramechhap districts, Central Nepal

SN	Name of Projects and Short Description	Client	Place of Work
37	Khimti I Hydropower Project (60MW): Community and Environmental Services and EMP Implementation for the Project.	Himal Power Limited	Dolakha and Ramechhap districts, Central Nepal
38	BPCH Design Guidelines- September 2008: Guidelines were developed on considering the necessity to harness the knowledge and experience, to maintain uniformity and quality in design, and to ease up the day-to-day design process at BPCH. This guideline covered different disciplines of engineering and relevant sciences required in BPCH activities and consisted of a list of standard and practiced reference materials. It also included the precautions to a potential problem a novice may face, and the clues to get rid of such a problem.	Butwal Power Company Limited	
39	Health and Safety Standards in hydropower : Prepared safety standards for generation, transmission and distribution of hydropower projects for DoED	Department of Electricity Development	Central Nepal
40	Sunkoshi Hydropower Project (3.6 MW): Feasibility study, design review, survey of waterways and geological mapping of headworks	Sanima Hydropower Project	Sindhupalchok district, Central Nepal
41	Study for Promotion of Electricity distribution by Cooperatives: Study carried out on "Promotion of Electricity Distribution by Cooperatives" which was commissioned by Department of Electricity Development (DoED) to explore possibilities of franchising electricity distribution through user associations and community participation. The Study was carried out to assist National Planning Commission (NPC) so that the findings of the study and modality of the distribution cooperative(s) could be incorporated in the Tenth Plan of NPC	Ministry of Water Resources	Countrywide Resources, Department of Electricity
42	Low flow hydrology Study and Fish Monitoring of Khimti-I Hydropower Project (60 MW): Low flow hydrological studies and Khimti fish monitoring work in the Khimti Khola since the start of the operation of the project.	Himal Power Limited	Dolakha and Ramechhap districts, Central Nepal
43	Melamchi Diversion Scheme (28 km Water Supply Tunnel): Assisted in the final design and preparation of the tender document as a sub-consult to NORPLAN A.S. Worked out social uplift program such as family health, sanitation, nutrition, family planning and income generation activities for women through non-formal education programs with low key input to raise awareness and the living standard of villagers. Designed head works.	Norplan AS	Sindhupalchok district, Central Nepal
44	Access Road (24 Km) to the intake and tunnel adits of Melamchi Diversion Scheme: Detailed survey and design of spoil- tips	Melamchi Water Supply Development Board	Central Nepal
45	Tsho Rolpa GLOF Risk Reduction Project: Undertook an evaluation of Tsho Rolpa, an unstable glacial lake located at 4500 m elevation. Prepared a detailed project proposal and then undertook a design -build contract to lower the lake level by 3 m.	Dept of Hydrology and Meteorology/ Netherlands Development Assistance (NEDA)	Dolakha district, Central Nepal
46	Tsho Rolpa GLOF Early Warning System Installation: Design and installation of Syphon drainage system.	BC Hydro, Canada	Dolakha district, Central Nepal
47	Trishuli Khola Small Hydro Project (4 MW): Prepared feasibility study for a 4 MW hydropower project, including a detailed cost estimate.	Annapurna Power Pvt Ltd	Nuwakot district, Central Nepal
48	Nyadi Hydropower Project (30 MW): Prepared a feasibility study for a 30 MW hydropower project, including a detailed cost estimate.	Lamjung Electricity Development Company Ltd	Lamjung district, Western Nepal
49	Access Road (5 km) to the Nyadi Hydropower Project (30 MW): Survey and design of about 5 km long access road to the powerhouse area of the project at feasibility stage	Lamjung Electricity Development Company Ltd	Lamjung district, Central Nepal

SN	Name of Projects and Short Description	Client	Place of Work
50	Glacier Lake Outburst Flood (GLOF) Study of the Tama Koshi basin: Undertook an evaluation of Tsho Rolpa, an unstable glacial lake located at 4500 m elevation. Carried out detailed flood routing in the downstream valley for about 120 km reach.	Dept of Hydrology and Meteorology	Central Nepal
51	Khimti I Hydropower Project (60 MW): Provided detailed civil engineering design under sub-contract for the Khimti I Project. The project involved run-of-the-river headworks, 10 km of tunnel, an underground powerhouse and surface and access infrastructure.	Himal Power Limited	Dolakha and Ramechhap districts, Central Nepal
52	Preparation of Civil Works Guidelines for Micro-hydropower in Nepal	Intermediate Technology Development Group (ITDG)	
53	Jhimruk Hydropower Plant (12 MW): Undertook design and construction supervision of additional river training works for the powerhouse location and at upstream and downstream of the Jhimruk dam structure. Liaised with the power plant owner and local communities to design and implement a mutually acceptable solution.	Butwal Power Company Limited	Pyuthan district, Mid- Western Nepal
54	Khimti I Hydropower Project (60 MW): In association with the Norwegian University of Science and Technology, undertook the physical model study for the Khimti I Hydropower Project. The study included tests of the proposed headworks design on physical models of 1:40 and 1:15 scale.	Himal Power Limited	Dolakha and Ramechhap districts, Central Nepal
55	Andhi Khola Hydropower Project (5.1 MW): Detailed design of flashboards to enhance the peak generation capacity of the Andhi Khola Hydropower Project.	Butwal Power Company Limited	Syangja district, Western Nepal
56	Khimti I Supplementary Environmental Assessment: Collaborated with Norconsult AS for the detailed study of the fishery, low flows and water use from the Khimti Khola, as part of an investigation to determine appropriate downstream river-related mitigation measures for the Khimti I Hydropower Project.	International Finance Corporation (IFC)	Dolakha district, Central Nepal
57	Khimti II Hydropower Project (26 MW): Undertook topographic survey and collection of field data on hydrology, environment, sediments and geology as part of investigations for the possible implementation Khimti II Hydropower Project. The preliminary study was conducted in association with Statkraft Engineering AS.	Himal Power Limited	Dolakha district, Central Nepal
58	Nayapul Kirne Road Project (22 km): Design and project management for construction of a road to the site of the Khimti I Hydropower Project.	Electricity Development Centre of Nepal	Central Nepal
59	Andhi Khola Headrace Irrigation Project: Undertook feasibility study, detailed design and construction advice for this irrigation project.	United Mission to Nepal	Syangja district, Western Nepal
60	Khimti I Hydropower Project Feasibility Study: Undertook detailed feasibility study in conjunction with Norpower AS. Study was completed in April 1993. The study was used as a basis to commence funding of the project from international development banks.	Himal Power Limited	Dolakha and Ramechhap districts, Central Nepal
61	Kali Gandaki 'A' Hydropower Project: Undertook specific investigations of materials, concrete quality, and HV transmission line alignment and design for Norpower.	Norwegian Power Consultants (Norpower AS)	Syangja district, Western Nepal
62	Tinau Hydropower Project - Electro-mechanical rehabilitation and Upgrading: Prepared feasibility reports on rehabilitation of existing equipment, and possible upgrading of scheme capacity. Prepared headworks and desanding basin modifications.	Nepal Electricity Authority	Rupandehi district, Western Nepal

SN	Name of Projects and Short Description	Client	Place of Work
63	Micro-Hydropower Inventory Studies: Undertook district-wide review of micro-hydro potential and reconnaissance level design for 10 most promising sites in each of three districts.	Canadian International Water and Energy Consultants	Eastern & Western Nepal
64	Jhimruk Hydropower Project (12 MW): Undertook design, preparation of tender documents, project management and construction supervision of all works for the project. This included a 2 km tunnel and underground penstock, physical model of headworks, and extensive river training works.	Butwal Power Company Limited	Pyuthan district, Western Nepal
65	Andhi Khola Hydropower Project (5.1 MW): Undertook design and construction supervision of this project. This included headworks tunnel and underground powerhouse, and surface and access infrastructure.	Butwal Power Company Limited	Syangja district, Western Nepal
66	Tinau Hydropower Project (1 MW): Undertook the design of dam and intake rehabilitation works as well as supervision of construction for the project.	Nepal Electricity Authority	Rupandehi district, Western Nepal

AUDITOR'S REPORT

S. R. PANDEY & Co.
Chartered Accountants

Radha Krishna Marg, New Baneshwor
P.O. Box No. 2343
Kathmandu, Nepal

Tel. : 2104600, 2104700
Fax : 977-1-4491187
e-mail: srpandey@wlink.com.np

AUDITOR'S REPORT TO THE SHAREHOLDERS OF HYDRO-CONSULT ENGINEERING LIMITED

1. We have audited the accompanying financial statements of **Hydro-Consult Engineering Ltd.**, which comprise the Balance Sheet as at Ashad 31, 2072, (July 16, 2015) and the related, Income Statement, Statement of Change in Equity, Cash Flows, and Notes to the Annual Accounts for the year then ended.

Management's Responsibility for the financial Statements

2. Management is responsible for the preparation and fair presentation of these financial Statements in accordance with Nepal Accounting Standards. This responsibility includes: designing, implementing and maintaining internal control relevant to the preparation and presentation of financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

Auditor's responsibility

3. Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Nepal Standards on Auditing. Those Standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depended on our professional judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we considered the internal control relevant to Company's preparation and fair presentation of the financial statements in order to design audit procedures that were appropriate in the circumstances, but not for the purpose of expressing an opinion on the Company's internal control. An audit also includes evaluating the appropriateness of the accounting policies used and the reasonableness of accounting estimates made by the management, as well as evaluating the overall presentation of the financial statements.

We believe that our audit evidence we obtained is sufficient and appropriate to provide a basis for our opinion.

Opinion

4. *In our opinion, the accompanying financial statements give a true and fair view, in all material respects the financial position of **Hydro-Consult Engineering Limited**, as at Ashad 31, 2072 (July 16, 2015), and of the results of its financial performance and its cash flows for the year then ended in accordance with Nepal Accounting Standards and comply with Company Act 2063.*
5. On the basis of our examination, we would like to report that:
- We have obtained all the information and explanations, which were considered necessary for the purpose for our audit.
 - The Company has kept proper books of accounts as required by law, in so far as it appears from our examination of those books of account.
 - The Balance Sheet, Profit and Loss Account, Cash Flow Statement and attached Schedules dealt with by this report are in agreement with the books of account maintained by the Company.
 - During our examination of the books of account of the Company, we have not come across the cases where the Board of Directors or any member thereof or any representative or any office holder or any employee of the Company has acted contrary to the provisions of law or caused loss or damage to the Company, and
 - We have not come across any fraudulence in the accounts.

For: S. R. Pandey & Co.
Chartered Accountants



Place: Kathmandu
Date: 2072 Poush 08

C.A. Bhaskar Singh Lala
Partner

AUDITED FINANCIAL STATEMENTS

BALANCE SHEET

As on Ashadh 31, 2072 (July 16, 2015)

Particulars	Sch.	F.Y 2071/72 NPR	F.Y 2070/71 NPR
I. Equity and Liabilities			
1 Shareholder's Fund			
Share capital	1	11,778,500	11,778,500
Reserve and Surplus	2	45,612,993	34,177,995
Total Shareholder's Fund		57,391,493	45,956,495
2 Current Liabilities and Provisions			
Creditors and Accounts Payable	3	8,391,565	8,129,498
Advance and Deposit received	4	2,566,605	6,694,193
Provision for Bonus		1,808,751	1,533,968
Provision for Tax		3,957,101	3,740,242
Other Provisions	5	3,693,513	3,655,103
Total Current Liabilities and Provisions		20,417,535	23,753,004
TOTAL		77,809,028	69,709,499
II. Assets			
Non-Current Assets			
1 Property, Plant & Equipments	6		
Gross Block		17,473,193	16,078,545
Less: Depreciation reserve		(11,652,512)	(10,134,364)
Net Block		5,820,681	5,944,181
2 Intangible Assets	6		
Gross Block		3,570,856	2,234,631
Less: Depreciation reserve		(1,672,831)	(1,193,913)
Net Block		1,898,025	1,040,718
3 Non Current Assets Held for Sale			
Current Assets:			
Debtors and Accounts Receivable	7	26,188,595	31,513,107
Cash in hand and at Bank	8	28,836,687	19,814,465
Advances, Deposit & receivables	9	14,922,084	11,062,231
Total Current Assets		69,947,366	62,389,803
Deferred Tax Assets/(Liabilities)		142,956	334,797
TOTAL		77,809,028	69,709,499

Schedule 1-9 and Schedule 14 form an integral part of this Balance Sheet.

Rabindra Ranjit
Asst. Finance ManagerManohar Shrestha
Chief Executive OfficerUttar Kumar Shrestha
ChairmanBalaram Pradhan
DirectorRadheshyam Shrestha
DirectorPratik Man Singh Pradhan
DirectorAs per our report of even date
For S.R. Pandey & Co.
Chartered AccountantsDate: 2072/09/08
Place: Kathmandu, NepalCA Bhaskar Singh Lala
Partner
S.R. Pandey & Co.
Chartered Accountants

INCOME STATEMENT

For the Ashad End 2072 (July 16, 2015)

Particulars	Sch.	F.Y 2071/72 NPR	F.Y 2070/71 NPR
OPERATING INCOME			
Consultancy Services	10	91,630,441	83,977,721
Other Operating Income	13	840,563	948,218
Foreign Currency Exchange Gain		468,257	-
Total Operating Income		92,939,261	84,925,939
OPERATING EXPENSE			
Direct Cost	11	59,508,131	52,828,487
Total Operating Expense		59,508,131	52,828,487
Gross Operating Profit		33,431,130	32,097,452
Administrative and Other Expenses			
Administrative Expenses	12	10,569,531	11,959,043
Depreciation		1,997,066	2,083,889
Bad Debt Written Off		1,298,130	1,780,022
Foreign Currency Exchange loss		-	441,124
Total Administrative and Other Expenses		13,864,727	16,264,078
NON-OPERATING INCOME:			
Interest Income	13	329,858	284,575
Miscellaneous Income	13	-	77,404
Total Non-Operating Income		329,858	361,979
PROFIT BEFORE BONUS AND TAX		19,896,261	16,195,353
Provision for Employee Bonus		1,808,751	1,533,968
PROFIT BEFORE TAX		18,087,510	14,661,385
Provision for Corporate Tax		(3,957,101)	(3,740,242)
Previous Year Tax Expense		(147,870)	-
Deferred Tax Income/(Expenses)		(191,841)	(22,510)
Net Profit for the Year		13,790,698	10,898,633
Profit upto previous Year		34,177,995	23,279,362
Balance Transferred to Balance Sheet		47,968,693	34,177,995

Schedule 10-13 form an integral part of this Income Statement.

Rabindra Ranjit
Asst. Finance Manager

Manohar Shrestha
Chief Executive Officer

Uttar Kumar Shrestha
Chairman

Balaram Pradhan
Director

Radheshyam Shrestha
Director

Pratik Man Singh Pradhan
Director

As per our report of even date
For S.R. Pandey & Co.
Chartered Accountants

Date: 2072/09/08
Place: Kathmandu, Nepal

CA Bhaskar Singh Lala
Partner
S.R. Pandey & Co.
Chartered Accountants

STATEMENT OF CASHFLOW

For the Ashad End, 2072 (July 16, 2015)

Sno.	Particulars	F.Y. 2071/72 NPR	F.Y. 2070/71 NPR
A.	Profit before Tax		
	Add:Non Cash & Non Operating Expenses	10,683,817	7,584,643
	Depreciation		
	Bonus Provision	1,997,066	2,083,889
	Bad Debts Written Off	1,808,751	1,533,968
	Less:	1,298,130	1,780,022
	Interest & other Non Operating Income		
	Bonus paid	(329,858)	(284,575)
	Non cash Income(Provison Reversed)	(1,533,968)	(849,254)
	Cash Flow before Working Capital adjustments	(2,713)	(9,346)
	Decrease (Increase) in Current Assets	13,921,225	11,839,347
	Increase (Decrease) in Current Liabilities	1,656,500	2,220,746
	Operating Cash flow before tax adjustment	(1,798,788)	4,111,866
	Less: Tax Paid	13,778,937	18,171,959
	Net Cash Flow from Operating Activities	-	-
	Operating Cash flow before tax adjustment	13,778,937	18,171,959
	Less: Tax Paid	-	(2,990,098)
	Net Cash Flow from Operating Activities	18,171,959	425,547
B	Cash Flow from Investing Activities		
	Fixed Assets Sales(purchased)	(2,730,872)	(521,366)
	Interest Income	329,858	284,575
	Net Cash Flow from Investing Activities	(2,401,014)	(236,791)
C	Cash Flow from Financing Activities		
	Issue of Share Capital	-	-
	Dividend paid	(2,355,700)	-
	Net Cash Flow from Financing Activities	(2,355,700)	-
D	Net Change in Cash & Cash Equivalent (A+B+C)	9,022,223	17,935,168
E	Cash and Bank Balance at the Beginning of the Year	19,814,465	1,879,297
F	Cash and Bank Balance at the End of the Year	28,836,688	19,814,465

Rabindra Ranjit
Asst. Finance Manager

Manohar Shrestha
Chief Executive Officer

Uttar Kumar Shrestha
Chairman

Balaram Pradhan
Director

Radheshyam Shrestha
Director

Pratik Man Singh Pradhan
Director

As per our report of even date
For S.R. Pandey & Co.
Chartered Accountants

Date: 2072/09/08
Place: Kathmandu, Nepal

CA Bhaskar Singh Lala
Partner
S.R. Pandey & Co.
Chartered Accountants

STATEMENT OF CHANGES IN EQUITY

For the Ashad End, 2072 (July 16, 2015)

Particulars	Share Capital	Retained Earnings	Total
Balance as on Ashad End 2071	11,778,500	34,177,995	45,956,495
Additional Capital Injection in FY 2071/72	-	-	-
Dividend Paid for FY 2070/71	-	(2,355,700)	(2,355,700)
Profit for the year (FY 2071/72)	-	13,790,698	13,790,698
Prior Year Adjustment	-	-	-
Transfer to General Reserve	-	-	-
Capital Reserve	-	-	-
Difference in Property Revaluation	-	-	-
Balance as on Ashad End 2072	11,778,500	45,612,993	57,391,493

SHARE CAPITAL

As on Ashad 31, 2072 (July 16, 2015)

Schedule 1

Particulars	F.Y 2071/72 NPR	F.Y 2070/71 NPR
Authorised Share Capital		
(5,00,000 ordinary shares of Rs. 100 each)	50,000,000	50,000,000
Issued and called up Capital		
(1,17,785 ordinary shares of Rs. 100 each)	11,778,500	11,778,500
Paid up Share Capital		
(1,17,785 ordinary shares of Rs. 100 each)	11,778,500	11,778,500
Total	11,778,500	11,778,500

RESERVE AND SURPLUS

As on Ashad 31, 2072 (July 16, 2015)

Schedule 2

Particulars	F.Y 2071/72 NPR	F.Y 2070/71 NPR
Upto Last year	34,177,995	23,279,362
This year (adjusted)	13,790,698	10,898,633
Dividend Paid	(2,355,700)	-
Total	45,612,993	34,177,995

CREDITORS AND ACCOUNTS PAYABLE

As on Ashad 31, 2072 (July 16, 2015)

Schedule 3

Particulars		F.Y 2071/72 NPR	F.Y 2070/71 NPR
Retention payable		294,000	144,750
TDS and Remuneration Tax Payables		1,186,782	3,269,360
Salary Payable		798,751	1,643,063
Bonus Payable		3,260	-
Provident Fund Deduction		10,884	852
VAT Payable		194,169	658,203
Gratuity Payable	576,522		-
Less: Gratuity Fund Deposit in CIT	(576,522)	-	-
Medical Insurance Claim payable		-	8,207
Other Liabilities to Employees		1,171,858	950,052
Audit Fee Payable		145,000	140,000
NMB Bank(Lohore Khola HP)		500	-
Api Power Co. Ltd.		3,070	-
Other Payables		4,583,291	1,315,011
Total		8,391,565	8,129,498

ADVANCE & DEPOSIT RECEIVED

As on Ashad 31, 2072 (July 16, 2015)

Schedule 4

Particulars	F.Y 2071/72 NPR	F.Y 2070/71 NPR
ERMC-BPC-MASINA-DE JV	300,000	300,000
Sanima Mai Hydropower Ltd	399,755	336,320
Sasha Engineering Hydropower Pvt. Ltd.	393,750	-
Himalaya Urja Bikash Co. Pvt. Ltd.	101,100	-
Jal Urja Pvt. Ltd.	670,000	-
Upper Solu Hydroelectric Co. Ltd.	702,000	-
Gura SHP-KTDA	-	6,057,873
Total	2,566,605	6,694,193

PROVISIONS

As on Ashad 31, 2072 (July 16, 2015)

Schedule 5

Particulars	F.Y 2071/72 NPR	F.Y 2070/71 NPR
Provision for Leave Expenses	1,228,996	1,189,318
Provision for Gratuity	-	247,150
Provision for Expenses	58,644	16,410
Provision for PLI	2,405,873	2,202,225
Total	3,693,513	3,655,103

DEPRECIATION CALCULATION AND BOOK VALUE OF PPE

Summary of Assets upto end Ashadh 2072

Schedule 6

Non Current Assets

Sno.	Particulars	Depn. %	Gross Block		Depreciation		Net Book Value	
			As at Ashadh End 2071	Total additions for the Year	As At Ashadh End 2072	Accumulated As at Ashadh End 2071	As at Ashadh End 2071	As at Ashadh End 2072
1	Furniture & Fixture	25	2,320,209	67,832	2,388,041	1,554,244	199,549	1,753,794
2	Office Equipment	25	4,138,057	136,837	4,274,894	2,558,262	415,100	2,973,361
3	Computer & Accessories	25	4,657,817	1,189,980	5,847,797	2,956,265	527,529	3,483,794
4	Vehicles	20	4,783,791	-	4,783,791	2,954,979	365,762	3,320,742
5	Engineering Equipments	15	178,670	-	178,670	110,612	10,209	120,821
6	Software	25	2,234,631	1,336,225	3,570,856	1,193,913	478,918	1,672,831
Total			18,313,175	2,730,874	21,044,049	11,328,275	1,997,066	13,325,343
							6,984,901	7,718,706

DEBTORS AND ACCOUNTS RECEIVABLES

As on Ashad 31, 2072 (July 16, 2015)

Schedule 7

Particulars	F.Y 2071/72 NPR	F.Y 2070/71 NPR
Butwal Power Company Ltd.	652,465	2,514,659
Nyadi Hydropower Ltd.	-	382,367
Kabeli Energy Ltd.	124,170	2,206,852
BPC-ERMC JV	352,992	352,992
Mount Kailash Energy Pvt. Ltd.	3,087,434	3,742,287
Lamjung electricity & Development	-	1,115,000
Himalayan Power Partner	2,260	2,260
Panchthar Power Company	8,481	6,956
Gura Hydropower- KTDA	12,144,066	12,253,162
Nyam Nyam Hydro Power Co. Pvt. Ltd	1,362,833	1,381,417
Sasha Engineering Hydropower Ltd.	141,716	2,512,103
Mai Valley Hydropower Ltd.	719,367	1,353,080
Middle Modi Hydropower Ltd.	982,426	-
Sanvi Energy Pvt. Ltd.	17,550	190,440
Union Hydropower Pvt. Ltd.	1,107,500	-
Jal Urja Pvt. Ltd.	620,575	-
IDI Hydropower Co. Pvt. Ltd.	9,000	-
Perfect Energy Development Pvt. Ltd.	40,250	-
Khudi Hydropower Ltd.	-	419,960
Multi Consult As	124,800	77,156
Ages Consultant	4,396,452	2,415,449
Buddhanagar Party Palace	15,899	-
Multi Tours Service	26,744	-
Hydro Plan UK	-	586,967
Various Staffs	251,615	-
Total	26,188,595	31,513,107

CASH IN HAND AND AT BANKS

As on Ashad 31, 2072 (July 16, 2015)

Schedule 8

Particulars	F.Y 2070/71 NPR	F.Y 2069/70 NPR
Cash in Hand	14,736	1,978
Cheque In Hand	2,827,545	-
Standard Chartered Bank Nepal Ltd.	92,135	83,604
Himalayan Bank Ltd.(New Baneswor Branch)	15,387,136	16,968,361
Himalayan Bank USD A/c(02702639940038))	10,459,731	2,712,645
Machhapuchhre Bank Jomsom Branch	55,404	47,877
Total	28,836,687	19,814,465

ADVANCES, DEPOSITS & RECEIVABLES

As on Ashad 31, 2072 (July 16, 2015)

Schedule 9

Particulars	F.Y 2071/72 NPR	F.Y 2070/71 NPR
Business Advance to Staff	4,933,367	1,174,648
Telephone & Other Deposit	69,500	67,000
Bank Guarantee Margin	-	1,460,250
Interest Receivable	-	150,852
Prepaid Expenses	610,691	77,892
Advance Income Tax	8,722,592	6,739,208
Retention Receivable	88,845	-
Advance to others	310,899	-
Advance to Supplier/Contractor/Sub Contract	181,618	-
Durga Prasad Ghimire	4,572	4,572
Lunish Yakami	-	744
Diwakar Khadka	-	766
Saroj Lal Shrestha	-	752,624
Barun Suwal	-	170,875
Krishna Neupane	-	335,708
Staff Receivable (insurance)	-	127,092
Total	14,922,084	11,062,231

INCOME

As on Ashad 31, 2072 (July 16, 2015)

Schedule 10

Particulars	F.Y 2071/72 NPR	F.Y 2070/71 NPR
Consultancy Services	91,630,441	83,977,721
Total	91,630,441	83,977,721

DIRECT COST

As on Ashad 31, 2072 (July 16, 2015)

Schedule 11

Particulars	F.Y 2071/72 NPR	F.Y 2070/71 NPR
Staff Cost (Sub Sch-11.1)	40,278,868	40,219,985
Engineering Consultancy (Sub Sch-11.2)	13,380,138	9,631,813
Field Expenses (Sub Sch-11.3)	5,310,743	2,361,138
Vehicle Operation (Sub Sch-11.4)	538,382	615,551
Total	59,508,131	52,828,487

ADMINISTRATIVE AND OTHER OVERHEAD*As on Ashad 31, 2072 (July 16, 2015)**Schedule 12*

Particulars	F.Y 2071/72 NPR	F.Y 2070/71 NPR
A. Administrative Overhead		
Rent	2,730,993	2,386,140
Subsistence Pay	893,167	897,395
Electricity / Water	289,815	261,844
Housekeeping	68,221	74,224
Office Setup Expenses	47,270	-
Office Supplies	238,277	255,984
Repair & Maintenance	123,280	165,433
Computer Expenses	313,929	288,943
Photocopy and Binding	150,111	139,638
Printing Expenses	402,206	268,355
Stationery Expenses	144,827	107,405
Communication Related Expenses including Postage	512,543	523,206
Bank Commission & Charges	27,162	54,331
Advertisement & Publicity	216,152	178,070
Books, Newspaper & magazines	25,957	25,655
Membership Fee & Renewals	3,335	41,300
Transportation & Fares	367,565	156,913
Gift & Donations	56,370	36,400
Employee Motivation Expenses	395,978	365,973
Guest Entertainment	160,387	95,571
Medical Expenses	9,201	23,297
Courier Expenses	29,412	-
Photo & Audio/Video Expenses	1,576	240
Working Dresses	-	73,650
Meeting Expenses	6,604	27,047
Fuel and Lubricants	290,487	378,922
Generator Repair and Maintenance	92,460	122,025
Training & Seminars	25,500	455,662
Excursion, Tour and visit	68,224	-
Total	7,691,009	7,403,623
B. Other Overhead		
Audit Fee (Internal)	85,000	141,632
Audit Fee (External)	60,000	
Board Meeting Allowances	84,000	-
Audit Committee Meeting Allowances	27,000	
Budget Committee Meeting Allowances	30,000	
Annual General Meeting Expenses	99,377	73,816
International Travel	159,297	1,866,645

contd..... Schedule 12

Particulars	F.Y 2071/72 NPR	F.Y 2070/71 NPR
Vehicle Rental expenses	586,151	603,638
Tender Bidding Expenses	10,410	11,511
Insurance Expenses GPA	166,810	-
Business Promotion	45,950	192,298
Audit expenses	9,647	13,125
Board Meeting Expenses	16,633	9,705
Legal Expenses	-	21,795
Miscellaneous Expenses	17,630	7,754
Insurance Premium (Office Premises & Other Assets)	33,479	40,953
Assets Written off	-	165,751
Support Staff Expenses	1,447,138	1,406,797
Total	2,878,522	4,555,420
Total (A+B)	10,569,531	11,959,043

INTEREST & OTHER INCOME

*As on Ashad 31, 2072 (July 16, 2015)**Schedule 13*

Particulars	F.Y 2071/72 NPR	F.Y 2070/71 NPR
Interest	329,858	284,575
Other Income	162,056	776,577
Other Income (Provision reversed)	2,713	9,346
Grant Income	675,294	162,295
Miscellaneous Income	500	77,404
Total	1,170,421	1,310,197

STAFF COST

As on Ashad 31, 2072 (July 16, 2015)

Sub Schedule-11.1

Particulars	F.Y 2071/72 NPR	F.Y 2070/71 NPR
Salary	11,428,710	11,121,171
Allowance	22,390,908	21,053,148
Provident Fund	620,173	531,708
Leave Expenses	1,391,111	1,209,593
Daily Wage	312,561	192,556
Overtime	2,900	12,327
Gratuity	464,597	207,827
Insurance	145,778	456,560
Dashain Expenses	884,713	860,319
Performance Allowance	2,637,417	4,574,776
Total	40,278,868	40,219,985

ENGINEERING AND CONSULTANCY EXPENSES

As on Ashad 31, 2072 (July 16, 2015)

Sub Schedule-11.2

Particulars	F.Y 2071/72 NPR	F.Y 2070/71 NPR
Engineering & Design	-	2,211,941
Consultancy Expenses	10,280,217	6,518,969
Survey Expenses	2,081,780	658,675
Other Expenses	1,018,141	242,228
Total	13,380,138	9,631,813

FIELD EXPENSES

*As on Ashad 31, 2072 (July 16, 2015)**Sub Schedule-11.3*

Particulars	F.Y 2071/72 NPR	F.Y 2070/71 NPR
Travel and Daily Allowance	3,327,261	858,740
Field Materials	97,120	61,756
Transport & Transportation Taxes	1,848,080	991,401
Work Permit Expenses	38,282	449,241
Total	5,310,743	2,361,138

VEHICLE OPERATION

*As on Ashad 31, 2072 (July 16, 2015)**Sub Schedule-11.4*

Particulars	F.Y 2071/72 NPR	F.Y 2070/71 NPR
Fuel & Lubricants	331,531	424,910
Insurance Premium (Vehicles)	63,323	89,974
Taxes & Other	78,939	45,667
Driver Cost	35,000	25,000
Regular Servicing & Maintenance	29,589	30,000
Total	538,382	615,551

Hydro-Consult Engineering Ltd

Schedule-14

SIGNIFICANT ACCOUNTING POLICIES

A) GENERAL INFORMATION:

Hydro-Consult Engineering Ltd. (HCE) was named Hydro-Consult Private Ltd prior to conversion into public limited company. Hydro-consult was established in 24 March 1998 and was owned by people energy and environment development association (PEEDA). Butwal Power Company Limited (BPC) acquired 80% share of the company on 16 July 2009, and remaining 20% is owned by PEEDA. BPC transferred engineering consultancy business, fixed assets, goodwill of its Engineering Department (BPC hydro consult) to HCE with objective to run the engineering consultancy business as separate entity. HCE has inherited 25 years of professional experience from the engineering department of BPC. The company acquired public limited status on 18th September 2012 and took its new identity of Hydro-Consult Engineering Ltd. (HCE). The accompanied financial statements have been approved for publication by the Board of Directors of the HCE in its meeting held on 08th Poush 2072. The Board of Directors acknowledges the responsibility of preparation of financial statements.

B) SIGNIFICANT ACCOUNTING POLICIES:

The principal accounting policies applied in the preparation of these financial statements are set out below:

1. ACCOUNTING CONVENTION:

Financial Statements are prepared under historical cost convention on an accrual concept and are in accordance with Nepal Accounting Standards which requires the use of certain critical accounting estimates. It also requires management to exercise judgment in process of applying the Company's accounting policies.

2. GOING CONCERN ASSUMPTION

Financial Statements are prepared under going concern assumption. The management has no intention of closing down the company in the near future and the total assets of the company and its net worth supports such assumption.

3. FIXED ASSETS AND DEPRECIATION

All fixed assets are stated at cost less accumulated depreciation. All direct cost relating to the acquisition and installation of

fixed assets are capitalized to the cost of assets. Office furniture, equipment's and vehicles costing less than Rs. 5,000 per unit are charged to profit and loss account in the year of purchase.

Depreciation on fixed assets is charged to Profit & Loss Account on Diminishing balance method for the period of use applying the following rates:

Nature of Assets	Rate of depreciation
Furniture & Fixtures	25%
Office Equipment	25%
Computer & Accessories	25%
Vehicles	20%
Engineering Equipment	15%
Software	25%

4. CASH & BANK BALANCE

Cash & Bank Balance comprise cash in hand and current and call deposits held in bank accounts.

5. PROVISION FOR INCOME TAX

Provision for Income Tax has been computed as per Income Tax Act 2058 (Amendment) claiming tax paid in Kenya as foreign Tax Credit as per Section 71 of the Income Tax Act.

6. DEFERRED TAX ASSET/LIABILITY

The company has the policy of creating Deferred Tax Assets/ Liability as per the provision of Nepal Accounting Standard 09 on all Temporary Differences.

7. INCOME

Revenue is recognized using percentage completion basis in accordance with Nepal Accounting Standards. Previously, the revenue was recognized on milestone completion basis in accordance with the agreement.

8. EXPENSES

Expenses are recognized on accrual basis and if expenses have been made through binding agreement between the parties and the agreement clearly stipulates the terms and conditions for the payment against the service taken.

9. FOREIGN CURRENCY TRANSACTIONS

Transactions in foreign currency are stated in terms using the exchange rate prevailing on the date of transaction. Foreign currency assets and liabilities held in foreign currency on the date of balance sheet are given in Nepalese rupees using the buying rate of Nepal Rastra Bank on that date in accordance with NAS 11, Effects of Changes in Foreign Exchange Rates.

10. RETIREMENT BENEFITS

Retirement benefits for employees include a provident fund, a citizen investment trust and a gratuity scheme. Periodic contributions are made to the provident fund and charged to

profit and loss as staff cost. Regular employees are eligible for gratuity after completing continuous three years of service in the company.

During FY 2071/72, company has created plan asset for gratuity by depositing amount equal to gratuity payable in Citizen Investment Trust with authorization from 20th Board Meeting dated 16 June, 2015.

11. CONTINGENT LIABILITIES

All known liabilities are provided for and liabilities, whose future outcome cannot be ascertained with reasonable certainty, are treated as contingent and disclosed under contingent liabilities.

NOTES TO THE ANNUAL ACCOUNTS

1. RELATED PARTY TRANSACTION

Following are the related party transactions carried out at arm's length during FY 2071-72:

Party	Relationship	Transaction amount	Remarks
Butwal Power Company Ltd.	Parent Company	2,418,258.00	Consultancy income
Kabeli Energy Ltd.	Entity under common control of BPC	111,363.28	Consultancy income
Nyadi Hydropower Ltd.	Entity under common control of BPC	398,250.00	Consultancy income

THOSE CHARGED WITH GOVERNANCE

Those charged with governance of the company includes the members of the Board of Directors of the Company who are as follows:

Name	Position	Representation from
Mr. Uttar Kumar Shrestha	Chairperson	Butwal Power Company
Mr. Pratik Man Singh Pradhan	Director	Butwal Power Company
Ms. Radheshyam Shrestha	Director	Butwal Power Company
Mr. Balaram Pradhan	Director	PEEDA
Mr. Ratna Shakya	Alternate Director	Butwal Power Company
Mr. Prabhas Devkota	Alternate Director	PEEDA

TRANSACTION WITH BOD MEMBERS OF THE COMPANY

The company has provided Nrs. 84,000 as Board Meeting Allowance, Rs. 27,000 as Audit Committee Meeting Allowance and Rs. 30,000 as Budget Committee Meeting Allowance to the board member of the company during F/Y 2071/72.

2. RECLASSIFICATION AND RESTATEMENT STATEMENT OF BALANCE SHEET & P/L ITEMS:

Prior period figures are reclassified where ever necessary in the following comparative table:

SN	Account Head	Sch	Previous Year Figure	Reclassified Figure	Reason
1	Creditors and Accounts Payable	3	8,083,233	8,129,498	Difference of Rs. 46,265 due to adopting Percentage of completion method for revenue recognition.
2	Other Provisions	5	1,452,878	3,804,500	Difference of Rs. 2,351,622 due to provisioning of Performance Allowance.
3	Debtors and Account Receivable	7	28,784,991	31,513,107	Difference of 2,728,116 due to booking of revenue portion corresponding to Current WIP of AGES Consultant ana UK Hydropower.
4	Current Work In Progress	9	1,157,921	-	Difference of Rs. 1,157,921 due to transfer of Current WIP to Direct cost.

SN	Account Head	Sch	Previous Year Figure	Reclassified Figure	Reason
5	Consultancy Income	11	81,295,870	83,977,721	a) Difference of 2,728,116 due to booking of revenue portion corresponding to Current WIP. b) Difference of Rs. 46,265 due to adopting Percentage of completion method for revenue recognition.
6	Direct Cost	12	49,468,341	52,977,884	a) Difference of Rs. 1,157,921 due to transfer of Current WIP to Direct cost. b) Difference of Rs. 2,351,622 due to provisioning of Performance Allowance.

3. PROVISION FOR INCOME TAX

The company has provided Rs. 3,957,101 against provision for income tax as per the provisions of Income Tax Act, 2058.

4. DEFERRED TAX

Deferred Tax has been computed considering the current tax rate of 25% applicable to the company on following heads:

Particulars	Accounting Base	Tax Base	Difference
Fixed Assets (other than land)	7,718,705.87	7,061,531.91	(657,173.96)
Provision for leave	1,228,996.00	-	1,228,996.00
Total	8,947,701.87	7,061,531.91	571,822.04
Total Assets for the Year	-	-	142,955.51
Assets upto Previous Years	-	-	334,797.00
Expenses During the Year 2071-72	-	-	(191,841.49)

5. ADVANCE TAX & FOREIGN TAX CREDIT

Total advance tax upto FY 2071/72 amounts to Rs. 8,722,592 including Rs. 3,823,087.74 paid to Kenyan Tax Authority as TDS for revenue from Kenya in 71/72 and 2,894,111.96 foreign tax credit brought forward from 70/71.

The company has claimed Rs. 2,071,051 as foreign tax credit for FY 2071/72 as per section 71 of Income Tax Act 2058.

6. ZERO VAT SALES

During the year, the company has booked the following as zero VAT sales in pursuant to Schedule 2 of VAT Act, 2052.

Name of party	Amount	Income Head
Kenya Tea Development Agency	22,480,192.31	Consultancy Income
AGES Consult, Pakistan	8,654,196.74	Consultancy Income
Hydro Plan Unit 12, UK	586,967.00	Consultancy Income

7. EMPLOYEE BENEFITS

7.1. EMPLOYEE BONUS

The company has provided Rs. 1,808,751 against employee bonus as per the provisions of Bonus Act, 2030.

7.2. PROVISION FOR RETIREMENT PAYMENT

The company has provided Rs. 1,228,996 against provision for leave. Provision for gratuity has been netted off with Gratuity fund at CIT amounting Rs. 576,522.

7.3. PROVISION FOR PERFORMANCE ALLOWANCE TO EMPLOYEES

The company has provided Rs. 2,405,872.55 against performance allowance to employees in accordance with Nepal Accounting Standards which has been presented in Income Statement under the head Staff Cost. PLI paid during the year of Rs. 2,202,224.50 for FY 2070-71 has been adjusted through Profit & Loss Appropriation account as prior period adjustment.

8. DIVIDEND PAID

The company has paid dividend of Rs. 2,355,700 (20% of paid up capital) for the FY 2070-71 as per the decision of annual general meeting.

9. PROPOSED DIVIDEND

The board of director's meeting of the company on Poush 08, 2072 has proposed cash dividend of Rs. 2,944,625 which is 25% of paid up capital from the profit of FY 2071-72 to be distributed subject to approval of forthcoming annual general meeting.

Rabindra Ranjit
Asst. Finance Manager

Manohar Shrestha
Chief Executive Officer

Uttar Kumar Shrestha
Chairman

Balaram Pradhan
Director

Radheshyam Shrestha
Director

Pratik Man Singh Pradhan
Director

As per our report of even date
For S.R. Pandey & Co.
Chartered Accountants

Date: 2072/09/08
Place: Kathmandu, Nepal

CA Bhaskar Singh Lala
Partner
S.R. Pandey & Co.
Chartered Accountants

Financial Ratio

SN	Parameters	UOM	FY 2071/72	FY 2070/71	FY 2069/70
I	Liquidity Ratios				
1	Current Ratio	x	3.43	2.63	2.28
II	Profitability Ratios				
	Profitability Ratios related to Sales				
	<i>Profit Margins</i>				
1	Gross Profit Margin	%	36%	38%	37%
2	Operating Profit Margin	%	21%	19%	15%
3	Net Profit Margin	%	15%	13%	9%
	<i>Expenses</i>				
4	Operating Expenses Ratio	%	81%	76%	74%
5	Administrative Expenses Ratio	%	19%	24%	26%
	Investments Ratio				
6	Return on Assets	%	32%	32%	24%
7	Return on Capital Employed	%	32%	32%	24%
8	Return on Equity	%	24%	24%	16%
9	Book Value Per Share	NRs	487.26	390.17	297.64
10	Earnings Per Share	NRs	117.08	92.53	47.22
11	P/E Ratio	x	NA	NA	NA
III	Assets Efficiency Ratios				
1	Total Assets Turnover Ratio	x	1.62	1.85	1.72
2	Working Capital Turnover Ratio	x	1.88	2.20	2.28
IV	Capital Structure				
1	Debt-Equity Ratio	x	0%	0%	0%
2	Equity to Assets Ratio	X	100%	100%	100%

Ratio Analysis

LIQUIDITY RATIO

The current ratio highlights HCE's financial position to meet the short term financial obligation. The current ratio was 2.28 in FY 2069/70, 2.63 in FY 2070/71 and it continued increasing in FY 2071/72 and now it is 3.43. The increase in receivable, cash and bank balance has caused the increase in this ratio but these receivables are from good debtors and are certain to be recovered in the FY 2072/73.

PROFITABILITY RATIO

The profitability ratio is the performance indicator of HCE.

The gross profit margin has decreased to 36% in FY 2071/72 from 38% of the FY 2070/71. The company is performing consistently well in terms of revenue generation but direct cost has slightly increased.

Operating Profit Margin has increased to 21 % in FY 2071/72 compared to 19% in FY 2070/71. Net profit margin has also increased to 15% from 13% of FY 2070/71. Considering the present projects in hand and future prospects of the market, these ratios will substantially increase in the future. In conclusion, the company has performed well in terms of profitability in FY 2071/72.

INVESTMENT RATIO

Return on Capital Employed (ROCE) and Return on Equity (ROE) are 32% and 24% respectively in FY 2071/72. These ratios were same also in the FY 2070/71.

The Book Value per share in this fiscal year has increased to NPR 487.26 from NPR 390.17 in FY 2070/71. Therefore, the Earning per Share (EPS) in this fiscal year has increased to NPR 117.08 from NPR. 92.53 in FY 2070/71.

ASSETS EFFICIENCY RATIO

Total assets turnover ratio for this fiscal year is 1.62 as compared to 1.85 in FY 2070/71 due to additional assets purchased in FY 2071/72. The company will be able to generate more revenue and improve the assets turnover with maximum utilization of the assets.

The working capital turnover ratio is 1.88 in FY 2071/72 compared to 2.20 in FY 2070/71. This ratio is expected to be better in the FY 2072/73.

GEARING RATIO

HCE is 100 % equity financed in FY 2071/72 also.

HCE Family



Mristi Khola access bridge
over Kali Gandaki River



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ENGINEERING

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